

Industry ↴

# 960 Plan Accounting—Defined Benefit Pension Plans

## 960 Plan Accounting—Defined Benefit Pension Plans

### 10 Overall

### 00 Status

**General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

### General

960-10-00-1

The following table identifies the changes made to this Subtopic.

| Paragraph                                               | Action     | Accounting Standards Update                             | Date       |
|---------------------------------------------------------|------------|---------------------------------------------------------|------------|
| <a href="#">Benefits</a>                                | Amended    | <a href="#">Accounting Standards Update No. 2016-19</a> | 12/14/2016 |
| <a href="#">Benefits</a> (1st def.)                     | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Benefits</a> (3rd def.)                     | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Defined Benefit Plan</a>                    | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Defined Benefit Pension Plan</a> (1st def.) | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Pension Benefits</a> (1st def.)             | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Pension Benefits</a> (2nd def.)             | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Service</a> (1st def.)                      | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Service</a> (2nd def.)                      | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-10-05-1</a>                             | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-10-05-3</a>                             | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-10-05-4</a>                             | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-10-15-2</a>                             | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |

# 05 Overview and Background

**General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**960-10-05-1** The Codification contains several Topics for benefit plan accounting due to the differing accounting treatments for various forms of [employee benefit](#) plans. The Topics include:

- a. Plan Accounting—Defined Benefit Pension Plans, (this Topic)
- b. Plan Accounting—Defined Contribution Pension Plans, Topic [962](#)
- c. Plan Accounting—Health and Welfare Benefit Plans, Topic [965](#).

Additionally, Topic [715](#) addresses financial accounting and reporting for an employer that offers pension, other postretirement, and certain special or contractual benefits to its employees.

**960-10-05-2** The Plan Accounting—Defined Benefit Pension Plans Topic includes the following Subtopics:

- a. Overall
- b. [Accumulated Plan Benefits](#)
- c. Net Assets Available for Plan Benefits
- d. Terminating Plans
- e. Presentation of Financial Statements
- f. Receivables
- g. Investments—Other
- h. Property, Plant, and Equipment.

**960-10-05-3** The Overall Subtopic provides scope-related guidance for this Topic and an overview of accounting and reporting for [defined benefit pension plans](#).

**960-10-05-4** Defined benefit pension plans provide a promise to pay to participants specified benefits that are determinable and are based on such factors as age, years of [service](#), and compensation. A plan's net assets are the existing means by which it may provide benefits, therefore, [net asset information](#) is necessary in assessing a plan's ability to pay benefits when due.

**960-10-05-5** This Topic does not require the preparation or distribution of any plan's financial statements.

## > The Employee Retirement Income Security Act of 1974

- 960-10-05-6** Defined benefit pension plans are generally subject to certain of the reporting and other requirements of the Employee Retirement Income Security Act of 1974. In addition to establishing certain minimum standards for participation, vesting, and funding for employee benefit plans of private entities, the Act also requires annual reporting of certain information to particular governmental agencies and summarized information to plan participants. For many plans, the reporting requirements include financial statements prepared in conformity with generally accepted accounting principles (GAAP).
- 960-10-05-7** The reporting requirements of the Act, except for certain particular references, are not included in the Codification, but they should nonetheless be considered by those responsible for the preparation of defined benefit plan financial statements.
- 960-10-05-8** The following terms are widely used when addressing benefit plan accounting and reporting, yet are not included in the text of the standards:
- a. [Actuarial asset value](#)
  - b. [Benefit security](#)
  - c. [General account](#)
  - d. [Nonvested benefit information](#)
  - e. [Retired life fund](#).

## 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

**i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

### General

#### > Overall Guidance

- 960-10-15-1** The Subtopics within the Plan Accounting—Defined Benefit Pension Plans Topic only provide incremental guidance for the entities defined in this Scope Section, or as further defined in the Scope

Sections of the individual Plan Accounting—Defined Benefit Pension Plans Subtopics.

## > Entities

### 960-10-15-2

The guidance in this Topic applies to the following entities:

- a. All ongoing plans, funded or unfunded, that provide [pension benefits](#) for the employees of one or more employers or for the members of a trade or other [employee](#) association, including the following:
  1. [Subparagraph not used](#).
  2. Plans that are subject to the provisions of the Employee Retirement Income Security Act
  3. Plans that are not subject to the provisions of the Employee Retirement Income Security Act
  4. Plans that have no intermediary [funding agency](#) or plans that may be financed through any of the following:
    - i. One or more trust funds
    - ii. One or more contracts with insurance entities
    - iii. A combination thereof.
- b. Plans maintained outside the United States that are similar to plans maintained in the United States if financial statements of such plans are intended to conform with U.S. generally accepted accounting principles (GAAP).

### 960-10-15-3

The guidance in this Topic does not apply to the following entities:

- a. Government-sponsored social security plans.

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Accumulated Plan Benefits

Future benefit payments that are attributable under the provisions of a pension plan to employees' service rendered to the benefit information date. Accumulated plan benefits comprise benefits expected to be paid to any of the following:

- a. Retired or terminated employees or their beneficiaries
- b. Beneficiaries of deceased employees

- c. Present employees or their beneficiaries.

### Actuarial Asset Value

A value assigned by an actuary to the assets of a plan generally for use in conjunction with an actuarial cost method.

### Benefit Security

The plan's present and future ability to pay benefits when due.

### Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

### Defined Benefit Plan

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. Defined benefit health and welfare plans—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.
- b. Defined benefit pension plan—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.
- c. Defined benefit postretirement plan—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

### Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. Defined contribution health and welfare plans—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the

participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.

b. Defined contribution postretirement plan—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

## Employee

A person who has rendered or is presently rendering service.

## Funding Agency

An organization or individual, such as a specific corporate or individual trustee or an insurance entity, that provides facilities for the accumulation of assets to be used for paying benefits under a pension plan; an organization, such as a specific life insurance entity, that provides facilities for the purchase of such benefits.

## General Account

An undivided fund maintained by an insurance entity that commingles plan assets with other assets of the insurance entity for investment purposes. That is, funds held by an insurance entity that are not maintained in a separate account are in its general account.

## Net Asset Information

Information regarding the net assets available for benefits.

## Nonvested Benefit Information

The actuarial present value of nonvested accumulated plan benefits.

## Pension Benefits

Periodic (usually monthly) payments made pursuant to the terms of the pension plan to a person who has retired from employment or to that person's beneficiary.

## Retired Life Fund

That portion of the funds under an immediate participation guarantee contract that is designated as supporting benefit payments to current retirees.

## Service

Employment taken into consideration under a pension plan. Years of employment before the inception of a plan constitute an employee's past service; years thereafter are classified in relation to the particular actuarial valuation being made or discussed. Years of employment (including past service) before the date of a particular valuation constitute prior service; years of employment following the date of the valuation constitute future service; a year of employment adjacent to the date of valuation, or in which such date falls, constitutes current service.



960 Plan Accounting—Defined Benefit Pension Plans

20 Accumulated Plan Benefits

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

960-20-00-1

| The following table identifies the changes made to this Subtopic. |            |                                                         |            |
|-------------------------------------------------------------------|------------|---------------------------------------------------------|------------|
| Paragraph                                                         | Action     | Accounting Standards Update                             | Date       |
| <a href="#">Benefits</a>                                          | Amended    | <a href="#">Accounting Standards Update No. 2016-19</a> | 12/14/2016 |
| <b>Benefits</b> (1st def.)                                        | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Benefits</a> (3rd def.)                               | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Defined Benefit Plan</a>                              | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Defined Benefit Pension Plan</b> (1st def.)                    | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Participant</b> (1st def.)                                     | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Participant</a> (2nd def.)                            | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Pension Benefits</b> (1st def.)                                | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Pension Benefits</a> (2nd def.)                       | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Pension Fund</a>                                      | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Plan Assets</a> (2nd def.)                            | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |

|                                            |            |                                                         |            |
|--------------------------------------------|------------|---------------------------------------------------------|------------|
| <b>Service</b> (1st def.)                  | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Service</a> (2nd def.)         | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Sponsor</b> (1st def.)                  | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Sponsor</a> (3rd def.)         | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Vested Benefits</b> (1st def.)          | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Vested Benefits</a> (2nd def.) | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-05-1</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-25-1</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-25-2</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-25-5</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-35-1 through 35-3</a>   | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-35-11</a>               | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-35-12</a>               | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-35-17</a>               | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-45-2</a>                | Amended    | <a href="#">Accounting Standards Update No. 2012-04</a> | 10/01/2012 |
| <a href="#">960-20-45-3</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-45-5</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-50-4</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-50-6</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-55-1</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-20-55-2</a>                | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |



## 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

**960-20-05-1** This Subtopic provides guidance on [accumulated plan benefits](#) for [defined benefit pension plans](#).

## 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

### General

#### > Overall Guidance

**960-20-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [960-10-15](#).

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Accumulated Plan Benefits

Future benefit payments that are attributable under the provisions of a pension plan to employees' service rendered to the benefit information date. Accumulated plan benefits comprise benefits expected to be paid to any of the following:

- a. Retired or terminated employees or their beneficiaries
- b. Beneficiaries of deceased employees
- c. Present employees or their beneficiaries.

### Actuarial Present Value of Accumulated Plan Benefits

The amount as of a benefit information date that results from applying actuarial assumptions to the benefit amounts determined pursuant to paragraphs [960-20-25-3 through 25-5](#) (that is, the [accumulated plan benefits](#)), with the actuarial assumptions being used to adjust those amounts to reflect the time value of money (through discounts for interest) and the probability of payment (by means of decrements such as for death, disability, withdrawal, or retirement) between the benefit information date and the expected date of payment.

### Benefit Information

The actuarial present value of accumulated plan benefits.

### Benefit Information Date

The date as of which the actuarial present value of accumulated plan benefits is presented.

### Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

### Defined Benefit Plan

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. Defined benefit health and welfare plans—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified

services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.

b. Defined benefit pension plan—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.

c. Defined benefit postretirement plan—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

## Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

a. Defined contribution health and welfare plans—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.

b. Defined contribution postretirement plan—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

## Employee

A person who has rendered or is presently rendering service.

## Net Asset Information

Information regarding the net assets available for benefits.

## Net Assets Available for Benefits

The difference between a plan's assets and its liabilities. For purposes of this definition, a plan's liabilities do not include participants' accumulated plan benefits.

## Participant

Any employee or former employee, or any member or former member of a trade or other employee association, or the beneficiaries of those individuals, for whom there are pension plan benefits or other accumulated plan benefits.

### Pension Benefits

Periodic (usually monthly) payments made pursuant to the terms of the pension plan to a person who has retired from employment or to that person's beneficiary.

### Pension Fund

The assets of a pension plan held by a funding agency.

### Plan Assets

Assets—usually stocks, bonds, and other investments—that have been segregated and restricted, usually in a trust, to provide for pension benefits. The amount of plan assets includes amounts contributed by the employer, and by employees for a contributory plan, and amounts earned from investing the contributions, less benefits paid. Plan assets ordinarily cannot be withdrawn by the employer except under certain circumstances when a plan has assets in excess of obligations and the employer has taken certain steps to satisfy existing obligations. Assets not segregated in a trust or otherwise effectively restricted so that they cannot be used by the employer for other purposes are not plan assets even though it may be intended that such assets be used to provide pensions. If a plan has liabilities other than for benefits, those nonbenefit obligations may be considered as reductions of plan assets. Amounts accrued by the employer but not yet paid to the plan are not plan assets. Securities of the employer held by the plan are includable in plan assets provided they are transferable.

### Service

Employment taken into consideration under a pension plan. Years of employment before the inception of a plan constitute an employee's past service; years thereafter are classified in relation to the particular actuarial valuation being made or discussed. Years of employment (including past service) before the date of a particular valuation constitute prior service; years of employment following the date of the valuation constitute future service; a year of employment adjacent to the date of valuation, or in which such date falls, constitutes current service.

### Sponsor

In the case of a pension plan established or maintained by a single employer, the employer; in the case of a plan established or maintained by an employee entity, the employee entity; in the case of a plan established or maintained jointly by two or more employers or by one or more employers and one or more employee entities, the association, committee, joint board of trustees, or other group of representatives of the parties that have established or that maintain the pension plan.

### Vested Benefit Information

The actuarial present value of vested accumulated plan benefits.

### Vested Benefits

Benefits for which the employee's right to receive a present or future pension benefit is no longer contingent on remaining in the service of the employer. (Other conditions, such as inadequacy of the [pension fund](#), may prevent the employee from receiving the vested benefit.) Under graded vesting, the initial vested right may be to receive in the future a stated percentage of a pension based on the

number of years of accumulated credited service; thereafter, the percentage may increase with the number of years of service or of age until the right to receive the entire benefit has vested.

## 25 Recognition

**i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

#### > Application of Plan Provisions

- 960-20-25-1** [Benefit information](#) shall relate to the [benefits](#) reasonably expected to be paid in exchange for [employees' service](#) to the [benefit information date](#).
- 960-20-25-2** The following best represent the benefits attributable to service already rendered:
- [Vested benefits](#)
  - Nonvested benefits expected to become vested, determined primarily in accordance with the benefit accrual provision
  - Employees' history of pay and service to the benefit information date.
- 960-20-25-3** To the extent possible, plan provisions shall apply in recognizing [accumulated plan benefits](#). In some plans, benefits are a specified amount for each year of service. Even if a plan does not specify a benefit for each year of service, another of its provisions (for example, a provision applicable to terminated employees or to termination of the plan—if independent of funding patterns) may indicate how to measure accumulated plan benefits.
- 960-20-25-4** If the benefit for each year of service is not stated by or clearly determinable from the provisions of the plan, the benefit shall be considered to accumulate in proportion to either of the following:
- The ratio of the number of years of service completed to the benefit information date to the number that will have been completed when the benefit will first be fully vested, if the type of benefit is includable in vested benefits (for example, a supplemental early retirement benefit that is a vested benefit after a stated number of years of service)
  - The ratio of completed years of service to projected years of service upon anticipated separation from covered employment, if the type of benefit is not includable in vested benefits (for example, a death or disability benefit that is payable only if death or disability occurs during active service).
- 960-20-25-5** In recognizing and measuring accumulated plan benefits, the following shall apply:
- Except as indicated in (b) and (c) of this paragraph, accumulated plan benefits shall be based on employees' history of pay and service and other appropriate factors as of the benefit



information date. An illustration of the application of this guidance appears in Example 1 (see paragraph [960-20-55-6](#)).

b. Projected years of service shall be a factor only in determining employees' expected eligibility for particular benefits, such as any of the following:

1. Increased benefits that are granted provided a specified number of years of service are rendered (for example, a pension benefit that is increased from \$9 per month to \$10 per month for each year of service if 20 or more years of service are rendered)

2. Early retirement benefits

3. Death benefits

4. Disability benefits.

c. Automatic benefit increases specified by the plan (for example, automatic cost-of-living increases) that are expected to occur after the benefit information date shall be recognized.

d. Benefits to be provided by means of contracts excluded from [plan assets](#) for which payments to the insurance entity have been made shall be excluded.

e. Plan amendments adopted after the benefit information date shall not be recognized.

f. If it is necessary to take future compensation into account in the determination of Social Security benefits, employees' compensation as of the benefit information date shall be assumed to remain unchanged during their assumed future service. Increases in the wage base or benefit level pursuant to either the existing Social Security law or possible future amendments of the law shall not be recognized.

**960-20-25-6** [Superseded by Notice to Constituents.](#)

## 30 Initial Measurement

**i General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

### General

**960-20-30-1** [Section not used.](#)

## 35 Subsequent Measurement

**i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to



carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

### > Assumptions Used in Determining Benefit Information

- 960-20-35-1** An assumption of an ongoing plan shall underlie the other assumptions used in determining the [actuarial present value of accumulated plan benefits](#). Every other significant assumption used in that determination and disclosed pursuant to paragraph [960-20-50-8](#) shall reflect the best estimate of the plan's future experience solely with respect to that individual assumption. As to certain assumptions, all of the following shall apply:
- a. Assumed rates of return shall reflect the expected rates of return during the periods for which payment of benefits is deferred and shall be consistent with returns realistically achievable on the types of assets held by the plan and the plan's investment policy. To the extent that assumed rates of return are based on values of existing plan assets, the values used in determining assumed rates of return shall be the values presented in the plan's financial statements pursuant to the requirements of the Plan Accounting—Defined Benefit Pension Plans Topic.
  - b. Expected rates of inflation assumed in estimating automatic cost-of-living adjustments shall be consistent with the assumed rates of return.
  - c. Administrative expenses expected to be paid by the plan (not those paid by the [sponsor](#)) that are associated with providing accumulated plan benefits shall be reflected either by appropriately adjusting the assumed rates of return or by assigning those expenses to future periods and discounting them to the benefit information date.
- 960-20-35-1A** In selecting certain assumptions to be used in determining the actuarial present value of accumulated plan benefits, an acceptable alternative to that discussed in the preceding paragraph is to use those assumptions that are inherent in the estimated cost at the [benefit information date](#) to obtain a contract with an insurance entity to provide participants with their [accumulated plan benefits](#). Those other assumptions that are necessary but are not inherent in that estimated cost shall be selected pursuant to the requirements of the preceding paragraph.
- 960-20-35-2** For plans below a certain size, that alternative may be preferable to selection of certain assumptions (for example, mortality rates) appropriate for the [participant](#) group because the validity of actuarial assumptions is dependent on the law of large numbers. The use of insurance entity premium rates might also reduce for some plans the cost of implementing this Subtopic.

### > Changes in Assumptions

- 960-20-35-3** The following discusses the consideration of certain factors related to changes in assumptions used to calculate a plan's accumulated [benefits](#).

#### · > Accounting for Effects of Changes in Assumptions

- 960-20-35-4** Changes in actuarial assumptions made to reflect changes in the plan's expected experience shall be viewed as changes in estimates. That is, the effects of those changes shall be accounted for in the year of change (or in the year of change and future years if the change affects both) and shall not be accounted for by restating amounts reported in financial statements for prior years or by reporting pro forma amounts for prior years.

## · > Rates of Return

- 960-20-35-5** Assumed rates of return used to determine the actuarial present value of accumulated plan benefits may change periodically due to changes in expected rates of return or as changes occur in the factors affecting estimates. A change in assumed rates of return need not necessarily result when a decision is made to replace fixed-income securities currently held with lower-rated fixed-income securities because the higher yield associated with the lower-rated securities reflects increased risk. Accordingly, a higher ultimate return on the aggregate investment portfolio may not result.
- 960-20-35-6** The assumed rates of return required by this Subtopic relate to the periods for which payment of benefits is deferred and therefore encompass the periods on which automatic cost-of-living adjustments are based. Paragraph [960-20-35-10](#) discusses a relationship between assumed rates of inflation and assumed rates of return.
- 960-20-35-7** The determination of assumed rates of return for most plans is, to a significant degree, a matter of judgment.
- 960-20-35-8** Thus, various factors shall be considered in estimating rates of return to be used in determining the actuarial present value of accumulated plan benefits. Among them are the following:
- a. Rates of return expected from investments currently held or available in the marketplace
  - b. Rates of return expected from the reinvestment of actual returns from those investments
  - c. The investment policy of the plan, including the diversity of investments currently held and expected to be held in the future.
- 960-20-35-9** Accordingly, accumulated plan benefits will generally not be discounted solely at rates of return expected on existing investments, and changes in assumed rates of return will probably not equal the change during the reporting period in either short-term or long-term interest rates. A factor to consider in assessing the extent to which short-term and long-term interest rates should impact assumed rates of return is the degree to which the timing of cash inflows from related existing or potential investments matches the timing of payments of accumulated plan benefits. However, to the extent that assumed rates of return are affected by the rates of return expected from existing investments, this Subtopic requires that those expected rates be based on the values presented for those investments in the plan's financial statements. Further, the assumed rates of return at which accumulated plan benefits are discounted shall be reconsidered in light of changes in the fair values of investments between one period and another.

## · > Benefits

- 960-20-35-10** This Subtopic requires that assumed rates of inflation used in measuring benefits attributable to automatic cost-of-living adjustments be consistent with those inherent in assumed rates of return. If an automatic cost-of-living adjustment is subject to a maximum annual percentage increase (sometimes referred to as a cap), the assumed rate of benefit increase may differ from the assumed rate of inflation.
- 960-20-35-11** [Pension benefits](#) are not paid unless employees live to retirement, and they cease upon death unless there is a coannuitant, as in the case of a joint and survivor option. Therefore, accumulated plan benefits shall be adjusted to reflect participants' longevity.
- 960-20-35-12** For reasons other than death or disability, employees may cease rendering [service](#). If they do so before their pension benefits become fully vested, some or all of those benefits (depending on the plan's vesting provision) are forfeited.

- 960-20-35-13** Nonrecognition of future withdrawals would overstate the benefits reasonably expected to become payable. Consideration of future withdrawals is also consistent with consideration of future service in determining employees' expected eligibility for increased benefits.
- 960-20-35-14** The selection of assumed rates of return at which to discount accumulated plan benefits is designed to present the net assets and [benefit information](#) on comparable bases and is independent of the plan's benefit formula.
- 960-20-35-15** Because administrative expenses are incurred when making benefit payments, those expenses shall be considered in determining the benefit information. However, in similar circumstances, their use results in the disclosure (pursuant to paragraph [960-20-50-8](#)) of different rates of return. See paragraph [960-20-35-1\(c\)](#) for alternate methods of reflecting administrative expenses in the determination of benefit information.

## > Use of Averages or Reasonable Approximations

- 960-20-35-16** The literal application of certain of the requirements of the Plan Accounting—Defined Benefit Pension Plans Topic could require a degree of detail in recordkeeping and computation that might be unduly burdensome. Accordingly, the use of averages or other methods of approximation is appropriate, provided the results obtained are substantially the same as the results contemplated by this Topic.
- 960-20-35-17** Thus, rolling back to the beginning of the year or projecting to the end of the year detailed [employee service-related data](#) as of a date within the year may be acceptable in approximating beginning- or end-of-year [benefit information](#). It is expected that only in unusual circumstances will projecting the data collected during a triennial valuation to a [benefit information date](#) in a subsequent year satisfy the criterion of providing results that are substantially the same as those that would be obtained using data as of that latter date. An example of such unusual circumstances might be a small plan with a stable participant population.
- 960-20-35-18** The use of averages and other methods of approximation consistent with recommended actuarial practice may be useful in conjunction with other provisions of the Plan Accounting—Defined Benefit Pension Plans Topic, particularly if applied to plans sponsored by small employers.

# 45 Other Presentation Matters

**i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

- 960-20-45-1** As discussed in paragraph [960-205-45-1](#), the annual financial statements of a plan shall include information regarding the [actuarial present value of accumulated plan benefits](#) as of either the beginning or end of the plan year.
- 960-20-45-2** Certain flexibility is allowed in presenting the information regarding the actuarial present value of accumulated plan benefits and the year-to-year changes therein. That information may be presented on the face of one or more financial statements or in notes thereto. Regardless of the format selected, each category of information shall be presented in its entirety in the same location. If a statement format is selected for either category, a separate statement may be used to present that information or, provided the information is as of the same date or for the same period, that information may be presented together with information regarding the [net assets available for benefits](#) and the year-to-year changes therein.

## > Actuarial Present Value of Accumulated Plan Benefits

- 960-20-45-3** The total actuarial present value of accumulated plan benefits as of the [benefit information date](#) shall be segmented into at least the following categories:
- [Vested benefits](#) of participants currently receiving payments, including [benefits](#) due and payable as of the benefit information date
  - Other vested benefits
  - Nonvested benefits.
- 960-20-45-4** Such minimum segmentation is useful in assessing a plan's near-term versus long-range liquidity requirements. It might also provide some indication of the relative degree of objectivity or subjectivity inherent in determining the [benefit information](#) and will provide information needed by those who wish to make certain judgments or wish to compute certain financial ratios, for example, [net asset information](#) to [vested benefit information](#).

### · > Retiree Health Benefits

- 960-20-45-5** Information regarding [accumulated plan benefits](#) shall relate only to pension obligations. Even in situations in which separate financial statements are not prepared for a related health and welfare benefit plan, obligations related to retiree health benefits provided pursuant to Section 401(h) of the Internal Revenue Code shall not be reported in the statement of accumulated plan benefits of the [defined benefit pension plan](#) financial statements.

## > Changes in the Actuarial Present Value of Accumulated Plan Benefits

- 960-20-45-6** If significant, either individually or in the aggregate, the effects of certain factors affecting the change in the actuarial present value of accumulated plan benefits from the preceding to the current benefit information date shall be identified. Effects that are individually significant shall be separately identified.
- 960-20-45-7** The effects of factors comprising the net change in the benefit information will vary depending on the order in which the effects are calculated. No order for such determination is prescribed by this Subtopic.
- 960-20-45-8** Information regarding changes in the actuarial present value of accumulated plan benefits may be presented in either of the following ways:
- In a statement that accounts for the change between two benefit information dates
  - Elsewhere in the financial statements.



- 960-20-45-9** If only the minimum required disclosure is presented, presentation in a statement format will necessitate an additional unidentified other category to reconcile the beginning and ending amounts.

## 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

### General

- 960-20-50-1** See paragraph [960-20-45-2](#) for required information regarding the [actuarial present value of accumulated plan benefits](#) and the year-to-year changes therein that, if not presented in the basic financial statements, shall be disclosed in the notes to financial statements.

#### > Actuarial Present Value of Accumulated Plan Benefits

- 960-20-50-2** Present employees' accumulated contributions as of the [benefit information date](#) (including interest, if any) shall be disclosed. If interest has been credited on employees' contributions, the rate(s) shall be disclosed.

#### > Changes in the Actuarial Present Value of Accumulated Plan Benefits

- 960-20-50-3** The effects of certain factors affecting the change in the actuarial present value of accumulated plan benefits from the preceding to the current benefit information date shall be identified. Minimum disclosure shall include the significant effects of factors such as the following:

- a. Plan amendments
- b. Changes in the nature of the plan (for example, a plan spinoff or a merger with another plan)
- c. Changes in actuarial assumptions. Plans that measure the actuarial present value of accumulated plan benefits by insurance entity rates pursuant to the alternative approach described in paragraph [960-20-35-1A](#) shall, if practicable, disclose the effects of changes in actuarial assumptions reflected in changes in those insurance rates.

- 960-20-50-4** The significant effects of other factors may also be identified, including, for example, the following:
- a. [Benefits](#) accumulated (Actuarial experience gains or losses may be included with the effects of additional benefits accumulated rather than being separately disclosed; if the effects of changes in actuarial assumptions discussed in (c) of the preceding paragraph cannot be separately disclosed, those effects shall be included in benefits accumulated.)
  - b. The increase (for interest) as a result of the decrease in the discount period
  - c. Benefits paid.

- 960-20-50-5** Disclosure of the effects of all significant factors affecting the year-to-year change in the [benefit information](#) is encouraged.
- 960-20-50-6** If presented, benefits paid shall not include benefit payments made by an insurance entity in accordance with a contract that is excluded from [plan assets](#). However, amounts paid by the plan to an insurance entity pursuant to such a contract (including purchasing annuities with amounts allocated from existing investments with the insurance entity) shall be included in benefits paid. Due to the use of different actuarial assumptions, the amount paid by the plan to an insurance entity may be different from the previous measure of the actuarial present value of the related [accumulated plan benefits](#). That difference is an actuarial experience gain or loss (see paragraph [960-20-50-4](#)).
- 960-20-50-7** If the minimum required disclosure is presented in other than a statement format, the actuarial present value of accumulated plan benefits as of the preceding benefit information date shall also be presented.

## > Additional Financial Statement Disclosures

- 960-20-50-8** Disclosure of the plan's accounting policies shall include a description of the method and significant assumptions used to determine the actuarial present value of accumulated plan benefits, such as the following:
- a. Assumed rates of return
  - b. Inflation rates
  - c. Retirement ages.
- 960-20-50-9** Any significant changes of method or assumptions between benefit information dates shall be described.
- 960-20-50-10** If the method of considering administrative expenses as an adjustment of the assumed rates of return is used as described in paragraph [960-20-35-1\(c\)](#), the adjustment shall be separately disclosed (see paragraph [960-20-50-8](#)).
- 960-20-50-11** The usefulness of plan financial statements would be enhanced by disclosure of the estimated effect on the benefit information, or on the difference between the [net asset information](#) and the benefit information, of a given variation in the assumptions to which that information is most sensitive. Plans are encouraged to experiment with such disclosure.

# 55 Implementation Guidance and Illustrations

**i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.



# General

## > Implementation Guidance

### · > Determining Benefit Information

- 960-20-55-1** For purposes of illustration, the following discussion is in terms of an individual [employee](#). In practice, such [benefits](#) would be recognized on an aggregate rather than individual basis because it is usually not possible to predict whether and when an individual employee will become disabled (or elect early retirement, die in active [service](#), and so forth). It is, however, possible to estimate the disability (or early retirement, death, and so forth) benefits expected to become payable for a group of employees through the application of appropriate probability factors. The basic principle, however, is the same whether the computations are performed on an aggregate or an individual basis.
- 960-20-55-2** For certain types of benefits, the amount attributable to each year of service cannot be directly determined from the plan's provisions. The manner in which such benefits should be considered to accumulate depends on whether the benefit is includable in [vested benefits](#).
- 960-20-55-3** To illustrate, assume a plan provides a supplemental early retirement benefit of \$200 per month upon early retirement at age 55 with at least 25 years of service, payable from the date of early retirement until age 62 (the eligibility age for collecting Social Security benefits). If that benefit becomes a vested benefit after 25 years of service, it should be considered to accumulate in proportion to the ratio of the number of years of service completed to the [benefit information date](#) to the projected number of years of service that will have been completed when the benefit first becomes fully vested. Therefore, 1/25 of the \$200 benefit (that is, \$8) is attributed to each year of service (assuming the employee is expected to render at least 25 years of service).
- 960-20-55-4** In the case of a benefit that does not become a vested benefit (for example, a \$5,000 death benefit that is payable only if death occurs during active service), the benefit should be considered to accumulate in proportion to the ratio of the number of years of service completed at the benefit information date to the number of years of service completed at the estimated time of separation from covered employment.
- 960-20-55-5** For example, if the foregoing \$5,000 death benefit is expected to be paid after the 20th year of service (that is, the employee is expected to die at the end of the 20th year of service), 1/20 of the benefit should be attributed to each year of service. Thus, after 5 years of service, the employee's accumulated death benefit is \$1,250. In determining the [benefit information](#), such probability factors are used to estimate whether an employee will render at least 25 years of service, and whether and when that employee will elect early retirement.

## > Illustrations

### · > Example 1: Measurement of Accumulated Plan Benefits

- 960-20-55-6** This Example illustrates the guidance in paragraph [960-20-25-5\(a\) through 25-5\(b\)](#).
- 960-20-55-7** It is assumed that the actuary uses a full range of decrements including termination rates and disablement rates at ages below age 65, early retirement rates at ages when eligible below age 65, and normal retirement rates at ages 65 and over.
- 960-20-55-8** This Example has the following assumptions:
- a. Benefit rate of \$10 per month per year of service

- b. Normal retirement at age 65, irrespective of service; retirement not compulsory
- c. Unreduced immediate benefit upon early retirement from active employment at age 62 with 20 years of service
- d. Unreduced immediate benefit upon early retirement from active employment before age 62 with 30 years of service; Social Security make-up benefit of \$200 per month payable until age 62
- e. Reduced immediate benefit upon early retirement from active employment after age 55 and before age 62 with 20 years of service; reduction is 4% for each year by which retirement precedes age 62
- f. Unreduced immediate benefit upon total and permanent disability before age 65 with 10 years of service
- g. Deferred vested benefit, commencing at age 65, upon termination with 10 years of service; benefit payments (at full actuarially reduced value) may also be elected to commence as early as age 55 if 20 or more years of service have been completed
- h. Spouse's benefit upon death in service after meeting eligibility requirements for early or normal retirement (30 years of service, age 55 and 20 years of service, or age 65) equal to \$5 per month per year of service.

**960-20-55-9**

The following table illustrates the measurement of [accumulated plan benefits](#).

| Type of Benefit                       | Payable Upon Separation From Service at Ages | Amount of Benefit                               | Benefit Starts at | Duration of Benefit |
|---------------------------------------|----------------------------------------------|-------------------------------------------------|-------------------|---------------------|
| <b>Age 25 and 5 Years of Service</b>  |                                              |                                                 |                   |                     |
| (1) Deferred Vested                   | 30-49                                        | \$ 50                                           | Age 65            | Life                |
| (2) Unreduced Early                   | 50-64                                        | 50                                              | Retirement        | Life                |
| (3) Social Security Makeup            | 50-61                                        | 33 <sup>(a)</sup>                               | Retirement        | To Age 62           |
| (4) Normal                            | 65 and Over                                  | 50                                              | Retirement        | Life                |
| (5) Spouse                            | 50 and Over                                  | 25                                              | Death in Service  | Life of Spouse      |
| (6) Disability                        | 30-64                                        | 50                                              | Disablement       | Life                |
| <b>Age 40 and 5 Years of Service</b>  |                                              |                                                 |                   |                     |
| (1) Deferred Vested                   | 45-54                                        | \$ 50                                           | Age 65            | Life                |
| (2) Reduced Early                     | 55-61                                        | \$36 at Age 55 Increasing \$2 a Year to age 65  | Retirement        | Life                |
| (3) Unreduced Early                   | 62-64                                        | 50                                              | Retirement        | Life                |
| (4) Normal                            | 65 and Over                                  | 50                                              | Retirement        | Life                |
| (5) Spouse                            | 55 and Over                                  | 25                                              | Death in Service  | Life of Spouse      |
| (6) Disability                        | 45-64                                        | 50                                              | Disablement       | Life                |
| <b>Age 45 and 10 Years of Service</b> |                                              |                                                 |                   |                     |
| (1) Deferred Vested                   | 45-54                                        | \$ 100                                          | Age 65            | Life                |
| (2) Reduced Early                     | 55-61                                        | \$72 at Age 55 Increasing \$4 a Year to Age 61  | Retirement        | Life                |
| (3) Unreduced Early                   | 62-64                                        | 100                                             | Retirement        | Life                |
| (4) Normal                            | 65 and Over                                  | 100                                             | Retirement        | Life                |
| (5) Spouse                            | 55 and Over                                  | 50                                              | Death in Service  | Life of Spouse      |
| (6) Disability                        | 45-64                                        | 100                                             | Disablement       | Life                |
| <b>Age 50 and 20 Years of Service</b> |                                              |                                                 |                   |                     |
| (1) Deferred Vested                   | 50-54                                        | \$ 200                                          | Age 65            | Life                |
| (2) Reduced Early                     | 55-59                                        | \$144 at Age 55 Increasing \$8 a Year to Age 59 | Retirement        | Life                |
| (3) Unreduced Early                   | 60-64                                        | 200                                             | Retirement        | Life                |
| (4) Social Security Makeup            | 60-61                                        | 133 <sup>(a)</sup>                              | Retirement        | To Age 62           |
| (5) Normal                            | 65 and Over                                  | 200                                             | Retirement        | Life                |
| (6) Spouse                            | 55 and Over                                  | 100                                             | Death in Service  | Life of Spouse      |
| (7) Disability                        | 50-64                                        | 200                                             | Disablement       | Life                |
| <b>Age 50 and 30 Years of Service</b> |                                              |                                                 |                   |                     |
| (1) Unreduced Early                   | 50-64                                        | \$ 300                                          | Retirement        | Life                |
| (2) Social Security Makeup            | 50-61                                        | 200 <sup>(a)</sup>                              | Retirement        | To Age 62           |
| (3) Normal                            | 65 and Over                                  | 300                                             | Retirement        | Life                |
| (4) Spouse                            | 50 and Over                                  | 150                                             | Death in Service  | Life of Spouse      |
| (5) Disability                        | 50-64                                        | 300                                             | Disablement       | Life                |
| <b>Age 60 and 10 Years of Service</b> |                                              |                                                 |                   |                     |
| (1) Deferred Vested                   | 60-64                                        | \$ 100                                          | Age 65            | Life                |
| (2) Normal                            | 65 and Over                                  | 100                                             | Retirement        | Life                |
| (3) Spouse                            | 65 and Over                                  | 50                                              | Death in Service  | Life of Spouse      |
| (4) Disability                        | 60-64                                        | 100                                             | Disablement       | Life                |

(a) Because this benefit type is one which is includible in the computation of the present value of vested benefits, the \$200 monthly benefit is assumed to accrue uniformly over the first 30 years of service (see paragraph 960-20-25-5(b)(2)). If, on the other hand, there had been specified a benefit that never is includible in the computation of the present value of vested benefits, such as a \$200 monthly benefit payable in the event of the employee's death after 30 years of service, the accrued death benefit to be valued in the age 25 and 5 years of service example would have been \$33 (5/30 of \$200) for death at age 50, \$32 (5/31 of \$200) for death at age 51, and so forth.

960-20-55-10

If, in this Example, there were a maximum service limit of 30 years applicable at normal or early retirement or disablement, with a pro rata portion of the expected normal retirement benefit payable on vested termination, the only changes in the amount of benefit would be for the deferred vested benefit.

Age 25 and 5 Years of Service

\$ 33 (5/45 of \$300)

Age 50 and 20 Years of Service

\$ 171 (20/35 of \$300)

960 Plan Accounting—Defined Benefit Pension Plans

30 Net Assets Available for Plan Benefits

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

960-30-00-1

| The following table identifies the changes made to this Subtopic. |            |                                                         |            |
|-------------------------------------------------------------------|------------|---------------------------------------------------------|------------|
| Paragraph                                                         | Action     | Accounting Standards Update                             | Date       |
| <a href="#">Benefits</a>                                          | Amended    | <a href="#">Accounting Standards Update No. 2016-19</a> | 12/14/2016 |
| <b>Benefits</b> (1st def.)                                        | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Benefits</a> (3rd def.)                               | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Defined Benefit Plan</a>                              | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Defined Benefit Pension Plan</b> (1st def.)                    | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Pension Benefits</b> (1st def.)                                | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Pension Benefits</a> (2nd def.)                       | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Plan Assets</a> (2nd def.)                            | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |

|                          |            |                                                                   |            |
|--------------------------|------------|-------------------------------------------------------------------|------------|
| Sponsor (1st def.)       | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a>           | 03/14/2014 |
| Sponsor (3rd def.)       | Added      | <a href="#">Accounting Standards Update No. 2014-06</a>           | 03/14/2014 |
| 960-30-05-1              | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>           | 03/14/2014 |
| 960-30-25-1              | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>           | 03/14/2014 |
| 960-30-45-1              | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>           | 03/14/2014 |
| 960-30-45-2              | Amended    | <a href="#">Accounting Standards Update No. 2015-12 (Part II)</a> | 07/31/2015 |
| 960-30-45-2              | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>           | 03/14/2014 |
| 960-30-45-4              | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>           | 03/14/2014 |
| 960-30-45-5              | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>           | 03/14/2014 |
| 960-30-45-10             | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>           | 03/14/2014 |
| 960-30-45-11             | Superseded | <a href="#">Accounting Standards Update No. 2017-06</a>           | 02/27/2017 |
| 960-30-50-1 through 50-3 | Superseded | <a href="#">Accounting Standards Update No. 2017-06</a>           | 02/27/2017 |
| 960-30-50-1              | Amended    | <a href="#">Accounting Standards Update No. 2015-12 (Part II)</a> | 07/31/2015 |
| 960-30-50-2              | Amended    | <a href="#">Accounting Standards Update No. 2015-12 (Part II)</a> | 07/31/2015 |

# 05 Overview and Background

**i General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**960-30-05-1** This Subtopic provides guidance on net assets available for plan [benefits](#) for [defined benefit pension plans](#).

# 15 Scope and Scope Exceptions

**General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**960-30-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [960-10-15](#).

# 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### [401\(h\) Accounts](#)

A postretirement medical-benefit component provided in some defined benefit pension plans in addition to the normal retirement benefits of the plan, pursuant to Section 401(h) of the Internal Revenue Code.

### [Benefits](#)

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.



## Defined Benefit Plan

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. **Defined benefit health and welfare plans**—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.
- b. **Defined benefit pension plan**—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.
- c. **Defined benefit postretirement plan**—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

## Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. **Defined contribution postretirement plan**—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

## Net Asset Information

Information regarding the net assets available for benefits.

## Net Assets Available for Benefits

The difference between a plan's assets and its liabilities. For purposes of this definition, a plan's liabilities do not include participants' accumulated plan benefits.

### Pension Benefits

Periodic (usually monthly) payments made pursuant to the terms of the pension plan to a person who has retired from employment or to that person's beneficiary.

### Plan Administrator

The person or group of persons responsible for the content and issuance of a plan's financial statements in much the same way that management is responsible for the content and issuance of a business entity's financial statements.

### Plan Assets

Assets—usually stocks, bonds, and other investments—that have been segregated and restricted, usually in a trust, to provide for pension benefits. The amount of plan assets includes amounts contributed by the employer, and by employees for a contributory plan, and amounts earned from investing the contributions, less benefits paid. Plan assets ordinarily cannot be withdrawn by the employer except under certain circumstances when a plan has assets in excess of obligations and the employer has taken certain steps to satisfy existing obligations. Assets not segregated in a trust or otherwise effectively restricted so that they cannot be used by the employer for other purposes are not plan assets even though it may be intended that such assets be used to provide pensions. If a plan has liabilities other than for benefits, those nonbenefit obligations may be considered as reductions of plan assets. Amounts accrued by the employer but not yet paid to the plan are not plan assets. Securities of the employer held by the plan are includable in plan assets provided they are transferable.

### Sponsor

In the case of a pension plan established or maintained by a single employer, the employer; in the case of a plan established or maintained by an employee entity, the employee entity; in the case of a plan established or maintained jointly by two or more employers or by one or more employers and one or more employee entities, the association, committee, joint board of trustees, or other group of representatives of the parties that have established or that maintain the pension plan.

## 25 Recognition

**i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

#### > Use of Accrual Basis of Accounting

- 960-30-25-1** The accrual basis of accounting shall be used in preparing information regarding the [net assets available for benefits](#). The information shall be presented in such reasonable detail as is necessary to identify the plan's resources that are available for [benefits](#).

## > Interest Income and Rebate Interest Paid

- 960-30-25-2** The interest income earned and rebate interest paid as a result of securities lending activity shall be recorded on the statement of changes in net assets available for benefits.

# 45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

## > Changes in Net Assets Available for Benefits

- 960-30-45-1** Information regarding changes in [net assets available for benefits](#) shall be presented in enough detail to identify the significant changes during the year. This guidance is not intended to limit the amount of detail or manner of presenting information regarding changes in the [net asset information](#). Subclassifications and additional classifications may be useful. For example, separately reporting refunds of terminated employees' contributions may be useful. Alternatively, such refunds may be netted against contributions received from participants or included in [benefits](#) paid. Accordingly, [plan administrators](#) should use their best judgment in light of the relevant circumstances.
- 960-30-45-2** Information about changes in net assets available for benefits is intended to present the effects of significant changes in net assets during the year and shall present, at a minimum, all of the following:
- The net appreciation (depreciation) in fair value. Net appreciation or depreciation includes realized gains and losses on investments that were both purchased and sold during the period as well as unrealized appreciation or depreciation of the investments held at year-end.
  - Investment income (exclusive of (a)).
  - Contributions from the employer, segregated between cash and noncash contributions. A noncash contribution shall be recorded at fair value. The nature of noncash contributions shall be described, either parenthetically or in a note.
  - Contributions from participants, including those transmitted by the [sponsor](#).
  - Contributions from other identified sources (for example, state subsidies or federal grants).

- f. Benefits paid to participants.
- g. Payments to insurance entities to purchase contracts that are excluded from plan assets. Paragraph [960-205-50-1\(e\)](#) requires disclosure of the plan's dividend income related to excluded contracts and permits that income to be netted against this item.
- h. Administrative expenses.
- i. Other changes (for example, transfers of assets to or from other plans) should also be presented if they are significant.

**960-30-45-3** Separate disclosure of realized gains and losses on investments sold during the year is neither required nor proscribed.

## > 401(h) Accounts

**960-30-45-4** Because 401(h) net assets may not be used to satisfy pension obligations, the total of net assets available for [pension benefits](#) shall not include assets held in a [401\(h\) account](#) related to obligations of the health and welfare benefit plan.

**960-30-45-5** The 401(h) account assets less liabilities (net assets of the 401(h) account) are required to be shown in [defined benefit pension plan](#) financial statements as a single line item on the face of the statements as illustrated in Example 2 (see paragraph [960-205-55-2](#)).

**960-30-45-6** Those net assets related to the 401(h) account also shall be deducted before arriving at the total of net assets available for pension benefits.

**960-30-45-7** In deducting those net assets, the amount relating to 401(h) features shall be presented as a separate line item in the liabilities section of the statement of net assets available for pension benefits.

**960-30-45-8** The financial statement caption shall clearly denote that the net assets held in the 401(h) account relate to obligations of the health and welfare plan or arrangement.

**960-30-45-9** The statement of changes in net assets shall show only the changes in net assets of the pension plan and not any of the components of the changes in the net assets in the 401(h) account.

**960-30-45-10** The only amounts that shall be reported in the statement of changes in net assets are qualified transfers to the 401(h) account and/or any unused or unspent amounts (including allocated income) in the 401(h) account at the end of the year that were qualified transfers of excess pension [plan assets](#) that should have been but were not transferred back to the defined benefit pension plan.

**960-30-45-11** [Paragraph superseded by Accounting Standards Update No. 2017-06.](#)

# 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

- 960-30-50-1Paragraph superseded by Accounting Standards Update No. 2017-06.
- 960-30-50-2Paragraph superseded by Accounting Standards Update No. 2017-06.
- 960-30-50-3Paragraph superseded by Accounting Standards Update No. 2017-06.

# 960 Plan Accounting—Defined Benefit Pension Plans

## 40 Terminating Plans

## 00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

960-40-00-1

The following table identifies the changes made to this Subtopic.

| Paragraph                               | Action     | Accounting Standards Update             | Date       |
|-----------------------------------------|------------|-----------------------------------------|------------|
| Defined Benefit Plan                    | Added      | Accounting Standards Update No. 2014-06 | 03/14/2014 |
| Defined Benefit Pension Plan (1st def.) | Superseded | Accounting Standards Update No. 2014-06 | 03/14/2014 |
| Liquidation                             | Added      | Accounting Standards Update No. 2013-07 | 04/22/2013 |
| 960-40-05-1                             | Amended    | Accounting Standards Update No. 2014-06 | 03/14/2014 |
| 960-40-25-1                             | Amended    | Accounting Standards Update No. 2013-07 | 04/22/2013 |
| 960-40-25-2                             | Amended    | Accounting Standards Update No. 2013-07 | 04/22/2013 |
| 960-40-35-1                             | Superseded | Accounting Standards Update No. 2013-07 | 04/22/2013 |
| 960-40-35-1                             | Amended    | Accounting Standards Update No. 2012-04 | 10/01/2012 |
| 960-40-35-2                             | Amended    | Accounting Standards Update No. 2013-07 | 04/22/2013 |



## 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

**960-40-05-1** This Subtopic provides guidance for [defined benefit pension plans](#) that are [terminating plans](#).

## 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

### General

#### > Overall Guidance

**960-40-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic (see Section [960-10-15](#)).

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Defined Benefit Plan

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. **Defined benefit health and welfare plans**—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.
- b. **Defined benefit pension plan**—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.
- c. **Defined benefit postretirement plan**—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

## Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. **Defined contribution postretirement plan**—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and

specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

### Liquidation

The process by which an entity converts its assets to cash or other assets and settles its obligations with creditors in anticipation of the entity ceasing all activities. Upon cessation of the entity's activities, any remaining cash or other assets are distributed to the entity's investors or other claimants (albeit sometimes indirectly). Liquidation may be compulsory or voluntary. Dissolution of an entity as a result of that entity being acquired by another entity or merged into another entity in its entirety and with the expectation of continuing its business does not qualify as liquidation.

### Terminating Plan

All plans about which a termination decision has been made regardless of whether the terminating plan will be replaced.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

- 960-40-25-1** If [liquidation](#) of a plan is deemed to be imminent (as defined in paragraph [205-30-25-2](#)) before the end of the plan year, the plan's year-end financial statements shall be prepared using the liquidation basis of accounting in accordance with Subtopic [205-30](#).
- 960-40-25-2** Plan financial statements for periods ending after the determination that liquidation is imminent are prepared using the liquidation basis of accounting.

## 35 Subsequent Measurement

**General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to

carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

**960-40-35-1** Paragraph superseded by Accounting Standards Update No. 2013-07.

**960-40-35-2** For [terminating plan](#) assets, accumulated plan benefits shall be determined using the liquidation basis of accounting (see Subtopic [205-30](#)), and their value may differ from the actuarial present value of accumulated plan benefits reported for an ongoing plan. In general, upon termination all benefits should be reported as vested.

# 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

**960-40-50-1** When the decision has been made to terminate a plan or when a wasting trust (that is, a plan under which participants no longer accrue benefits but that will remain in existence as long as necessary to pay already accrued benefits) exists, the relevant circumstances shall be disclosed in all subsequent financial statements issued by the plan.

# 960 Plan Accounting—Defined Benefit Pension Plans

## 205 Presentation of Financial Statements

## 00 Status

**General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

### 960-205-00-1

The following table identifies the changes made to this Subtopic.

| Paragraph                                         | Action     | Accounting Standards Update                             | Date       |
|---------------------------------------------------|------------|---------------------------------------------------------|------------|
| <a href="#">Benefits</a>                          | Amended    | <a href="#">Accounting Standards Update No. 2016-19</a> | 12/14/2016 |
| <b>Benefits</b><br>(1st def.)                     | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Benefits</a><br>(3rd def.)            | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Contract Value</a>                    | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Contributory Plan</b><br>(1st def.)            | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Contributory Plan</a><br>(2nd def.)   | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Defined Benefit Plan</a>              | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Defined Benefit Pension Plan</b><br>(1st def.) | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Funding Policy</b><br>(1st def.)               | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Funding Policy</a><br>(3rd def.)      | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <b>Pension Benefits</b>                           | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |



|                                                        |            |                                                         |            |
|--------------------------------------------------------|------------|---------------------------------------------------------|------------|
| (1st def.)<br><a href="#">Pension Benefits</a>         | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (2nd def.)<br><a href="#">Pension Fund Plan Assets</a> | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (2nd def.)<br><b>Service</b>                           | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (1st def.)<br><a href="#">Service</a>                  | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (2nd def.)<br><b>Sponsor</b>                           | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (1st def.)<br><a href="#">Sponsor</a>                  | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (3rd def.)<br><b>Unallocated Contract</b>              | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (1st def.)<br><a href="#">Unallocated Contract</a>     | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (2nd def.)<br><b>Vested Benefits</b>                   | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (1st def.)<br><a href="#">Vested Benefits</a>          | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| (2nd def.)<br><a href="#">960-205-05-1</a>             | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-205-05-2</a>                           | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-205-10-1</a>                           | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-205-45-</a>                            | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |

|         |         |                                                                   |  |            |
|---------|---------|-------------------------------------------------------------------|--|------------|
| 2       |         |                                                                   |  |            |
| 960-    |         |                                                                   |  |            |
| 205-45- | Amended | <a href="#">Accounting Standards Update No. 2014-06</a>           |  | 03/14/2014 |
| 4       |         |                                                                   |  |            |
| 960-    |         |                                                                   |  |            |
| 205-45- | Added   | <a href="#">Accounting Standards Update No. 2017-06</a>           |  | 02/27/2017 |
| 7       |         |                                                                   |  |            |
| 960-    |         |                                                                   |  |            |
| 205-50- | Amended | <a href="#">Accounting Standards Update No. 2014-06</a>           |  | 03/14/2014 |
| 1       |         |                                                                   |  |            |
| 960-    |         |                                                                   |  |            |
| 205-50- | Amended | <a href="#">Accounting Standards Update No. 2014-06</a>           |  | 03/14/2014 |
| 5       |         |                                                                   |  |            |
| 960-    |         |                                                                   |  |            |
| 205-55- | Amended | <a href="#">Accounting Standards Update No. 2015-12 (Part II)</a> |  | 07/31/2015 |
| 1       |         |                                                                   |  |            |
| 960-    |         |                                                                   |  |            |
| 205-55- | Amended | <a href="#">Accounting Standards Update No. 2014-06</a>           |  | 03/14/2014 |
| 1       |         |                                                                   |  |            |
| 960-    |         |                                                                   |  |            |
| 205-55- | Amended | <a href="#">Accounting Standards Update No. 2014-06</a>           |  | 03/14/2014 |
| 2       |         |                                                                   |  |            |

# 05 Overview and Background

**General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

- 960-205-05-1** This Subtopic provides guidance on the presentation of financial statements for [defined benefit pension plans](#).
- 960-205-05-2** To enhance their usefulness, [plan administrators](#) may wish to supplement the financial statements with a brief explanation that highlights those matters expected to be of most interest to participants. Including summary financial information for a period of years in such supplementary information, and thereby disclosing trends, may also be helpful. With the information presented in plan financial statements, users can assess the extent to which the plan itself is able to pay participants' [benefits](#) and the extent to which payment of benefits is dependent on other factors, namely, the commitment

and financial ability of the employer(s), and, for Employee Retirement Income Security Act plans, the security provided by the Pension Benefit Guaranty Corporation.

## 10 Objectives

**General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

### General

**960-205-10-1** The primary objective of a pension plan's financial statements is to provide financial information that is useful in assessing the plan's present and future ability to pay [benefits](#) when due. In that regard, both of the following are recognized:

- a. Information in addition to that contained in a plan's financial statements is needed in assessing the plan's present and future ability to pay benefits when due.
- b. Financial statements for several plan years can provide information more useful in assessing the plan's future ability to pay benefits than can the financial statements for a single plan year (see paragraph [960-205-05-2](#)).

**960-205-10-2** Although this Subtopic does not identify any one group as the primary users, the content of plan financial statements shall focus on the needs of plan participants because pension plans exist primarily for their benefit. However, plan financial statements should also be useful to others who have any of the following characteristics:

- a. Advise or represent participants
- b. Are present or potential investors or creditors of the employer(s)
- c. Are responsible for funding the plan (for example, state legislators)
- d. For other reasons have a derived or indirect interest in the financial status of the plan.

**960-205-10-3** To accomplish its primary objective, a plan's financial statements shall provide information about all of the following:

- a. Plan resources and how the stewardship responsibility for those resources has been discharged
- b. The [accumulated plan benefits](#) of participants
- c. The results of transactions and events that affect the information regarding those resources and benefits
- d. Other factors necessary for users to understand the information provided.

## 15 Scope and Scope Exceptions

**General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**960-205-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [960-10-15](#).

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Accumulated Plan Benefits

Future benefit payments that are attributable under the provisions of a pension plan to employees' service rendered to the benefit information date. Accumulated plan benefits comprise benefits expected to be paid to any of the following:

- a. Retired or terminated employees or their beneficiaries
- b. Beneficiaries of deceased employees
- c. Present employees or their beneficiaries.

### Actuarial Cost Method

A recognized actuarial technique used for establishing the amount and incidence of employer contributions or accounting charges for pension cost under a pension plan.

### Actuarial Present Value of Accumulated Plan Benefits

The amount as of a benefit information date that results from applying actuarial assumptions to the benefit amounts determined pursuant to paragraphs 960-20-25-3 through 25-5 (that is, the [accumulated plan benefits](#)), with the actuarial assumptions being used to adjust those amounts to reflect the time value of money (through discounts for interest) and the probability of payment (by means of decrements such as for death, disability, withdrawal, or retirement) between the benefit information date and the expected date of payment.

## Benefit

See [Tax \(or Benefit\)](#).

## Benefit Information

The actuarial present value of accumulated plan benefits.

## Benefit Information Date

The date as of which the actuarial present value of accumulated plan benefits is presented.

## Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

## Contract Value

The value of an [unallocated contract](#) that is determined by the insurance entity in accordance with the terms of the contract.

## Contributory Plan

A plan under which retirees or active employees contribute part of the cost. In some contributory plans, retirees or active employees wishing to be covered must contribute; in other contributory plans, participants' contributions result in increased benefits.

## Defined Benefit Plan

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. Defined benefit health and welfare plans—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.
- b. Defined benefit pension plan—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or



compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.

c. Defined benefit postretirement plan—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

### Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

a. Defined contribution health and welfare plans—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.

b. Defined contribution postretirement plan—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

### Employee

A person who has rendered or is presently rendering service.

### Funding Policy

The program regarding the amounts and timing of contributions by the employers, plan participants, and any other sources (for example, state subsidies or federal grants) to provide the benefits a pension plan or other postretirement benefit plan specifies.

### Net Assets Available for Benefits

The difference between a plan's assets and its liabilities. For purposes of this definition, a plan's liabilities do not include participants' accumulated plan benefits.

### Pension Benefits

Periodic (usually monthly) payments made pursuant to the terms of the pension plan to a person who has retired from employment or to that person's beneficiary.

### Pension Fund

The assets of a pension plan held by a funding agency.

### Plan Administrator

The person or group of persons responsible for the content and issuance of a plan's financial statements in much the same way that management is responsible for the content and issuance of a business entity's financial statements.

### Plan Assets

Assets—usually stocks, bonds, and other investments—that have been segregated and restricted, usually in a trust, to provide for pension benefits. The amount of plan assets includes amounts contributed by the employer, and by employees for a contributory plan, and amounts earned from investing the contributions, less benefits paid. Plan assets ordinarily cannot be withdrawn by the employer except under certain circumstances when a plan has assets in excess of obligations and the employer has taken certain steps to satisfy existing obligations. Assets not segregated in a trust or otherwise effectively restricted so that they cannot be used by the employer for other purposes are not plan assets even though it may be intended that such assets be used to provide pensions. If a plan has liabilities other than for benefits, those nonbenefit obligations may be considered as reductions of plan assets. Amounts accrued by the employer but not yet paid to the plan are not plan assets. Securities of the employer held by the plan are includable in plan assets provided they are transferable.

### Separate Account

A special account established by an insurance entity solely for the purpose of investing the assets of one or more plans. Funds in a separate account are not commingled with other assets of the insurance entity for investment purposes.

### Service

Employment taken into consideration under a pension plan. Years of employment before the inception of a plan constitute an employee's past service; years thereafter are classified in relation to the particular actuarial valuation being made or discussed. Years of employment (including past service) before the date of a particular valuation constitute prior service; years of employment following the date of the valuation constitute future service; a year of employment adjacent to the date of valuation, or in which such date falls, constitutes current service.

### Sponsor

In the case of a pension plan established or maintained by a single employer, the employer; in the case of a plan established or maintained by an employee entity, the employee entity; in the case of a plan established or maintained jointly by two or more employers or by one or more employers and one or more employee entities, the association, committee, joint board of trustees, or other group of representatives of the parties that have established or that maintain the pension plan.

### Supplemental Actuarial Value

The amount assigned under the actuarial cost method in use to years before a given date.

### Tax (or Benefit)

Tax (or benefit) is the total income tax expense (or benefit), including the provision (or benefit) for income taxes both currently payable and deferred.

### Unallocated Contract

A contract with an insurance entity under which payments to the insurance entity are accumulated in an unallocated fund (not allocated to specific plan participants) to be used either directly or through the purchase of annuities, to meet benefit payments when employees retire. Funds held by the insurance entity under an unallocated contract may be withdrawn and otherwise invested.

### Vested Benefits

Benefits for which the employee's right to receive a present or future pension benefit is no longer contingent on remaining in the service of the employer. (Other conditions, such as inadequacy of the [pension fund](#), may prevent the employee from receiving the vested benefit.) Under graded vesting, the initial vested right may be to receive in the future a stated percentage of a pension based on the number of years of accumulated credited service; thereafter, the percentage may increase with the number of years of service or of age until the right to receive the entire benefit has vested.

## 45 Other Presentation Matters

**i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

### General

#### > General

- 960-205-45-1** The annual financial statements of a plan shall include all of the following:
- A statement that includes information regarding the [net assets available for benefits](#) as of the end of the plan year.
  - A statement that includes information regarding the changes during the year in the net assets available for benefits.
  - Information regarding the [actuarial present value of accumulated plan benefits](#) as of either the beginning or end of the plan year. Financial information presented as of the beginning of the year shall be the amounts as of the end of the preceding year. See paragraph [960-20-45-1](#) for related guidance.
  - Information regarding the effects, if significant, of certain factors affecting the year-to-year change in the actuarial present value of accumulated plan benefits.

- 960-205-45-2** Example 1 (see paragraph [960-205-55-1](#)) illustrates annual financial statements of a [defined benefit pension plan](#).

#### > Dates Used to Present Information

- 960-205-45-3** The primary objective of the financial statements of a defined benefit pension plan set forth in paragraph [960-205-10-1](#) is satisfied only if both of the following occur:
- Information regarding both the net assets available for benefits and the actuarial present value of accumulated plan benefits is presented as of the same date.
  - Information regarding both the changes in net assets available for benefits and the changes in the actuarial present value of accumulated plan benefits is presented for the same period.

- 960-205-45-4** Therefore, if the [benefit information date](#) pursuant to paragraph [960-205-45-1\(c\)](#) is the beginning of the year, a statement that includes information regarding the net assets available for benefits as of that date and a statement that includes information regarding the changes during the preceding year in the net assets available for [benefits](#) shall also be presented. Use of an end-of-year benefit information date is considered preferable. Plans are encouraged to develop procedures to enable them to use that date (see paragraphs [960-20-35-16 through 35-18](#)). The use of interim [benefit information](#) dates is not permitted.

## > 401(h) Account Information

- 960-205-45-5** Illustrative financial statements for a defined benefit pension plan with a 401(h) feature are presented in Example 2 (see paragraph [960-205-55-2](#)).

## > Statement of Cash Flows

- 960-205-45-6** Paragraph [230-10-15-4](#) states that a statement of cash flows is not required to be provided by a defined benefit pension plan that presents financial information in accordance with this Subtopic. That paragraph states that other [employee](#) benefit plans that present financial information similar to that required by this Subtopic (including the presentation of plan investments at fair value) also are not required to provide a statement of cash flows. That paragraph also states that employee benefit plans are encouraged to include a statement of cash flows with their annual financial statements if that statement would provide relevant information about the ability of the plan to meet future obligations (for example, if the plan invests in assets that are not highly liquid or obtains financing for investments).

## > Interests in Master Trusts

- 960-205-45-7** For each master trust in which a plan holds an interest, a plan shall present that interest and the change in that interest in separate line items in the statement of net assets available for benefits and in the statement of changes in net assets available for benefits, respectively. See Section [960-325-50](#) for master trust disclosures.

# 50 Disclosure

**General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

**960-205-50-1** The financial statements shall include the following disclosures, if applicable:

- a. A brief, general description of the plan agreement, including, but not limited to, vesting and benefit provisions. If a plan agreement or a description thereof providing this information is otherwise published and made available, this description may be omitted provided that reference to such other source is made.
- b. A description of significant plan amendments adopted during the year ending on the latest [benefit information date](#). If significant amendments were adopted between the latest benefit information date and the plan's year-end, it shall be indicated that the [actuarial present value of accumulated plan benefits](#) does not reflect those amendments.
- c. A brief, general description of the priority order of participants' claims to the assets of the plan upon plan termination and [benefits](#) guaranteed by the Pension Benefit Guaranty Corporation, including a discussion of the application of its guaranty to any recent plan amendment. Such a description serves to alert participants that a comparison of total net assets with the total actuarial present value of accumulated plan benefits (or with the three minimum required categories of [benefit information](#)) does not necessarily indicate which benefits would be covered by [plan assets](#) in the event of plan termination. If material providing this information is otherwise published and made available to participants, the descriptions required by this paragraph may be omitted provided that reference to such other source is made and disclosure similar to the following is made in the financial statements.  
  
Should the plan terminate at some future time, its net assets generally will not be available on a pro rata basis to provide participants' benefits. Whether a particular participant's [accumulated plan benefits](#) will be paid depends on both the priority of those benefits and the level of benefits guaranteed by the Pension Benefit Guaranty Corporation at that time. Some benefits may be fully or partially provided for by the then existing assets and the Pension Benefit Guaranty Corporation guaranty while other benefits may not be provided for at all.
- d. The [funding policy](#) and any changes in such policy during the plan year. If significant costs of plan administration are being absorbed by the employer(s), that fact shall be disclosed. For a [contributory plan](#), the disclosure shall state the method of determining participants' contributions. Plans subject to the Employee Retirement Income Security Act shall disclose whether the minimum funding requirements of the Act have been met. If a minimum funding waiver has been granted by the Internal Revenue Service (IRS) or if a request for a waiver is pending before the IRS, that fact shall be disclosed.
- e. The policy regarding the purchase of contracts with insurance entities that are excluded from plan assets. The plan's dividend income for the year that is related to excluded contracts shall be disclosed, and for purposes of paragraph [960-30-45-2](#) may be netted against payments to insurance entities related to such contracts as provided in (g) of that paragraph.
- f. The federal income tax status of the plan, if a favorable letter of determination has not been obtained or maintained. Disclosure of the plan's tax status is not proscribed in other circumstances.
- g. Significant real estate or other transactions in which the plan and any of the following parties are jointly involved:



1. The [sponsor](#)
2. The employer(s)
3. The [employee](#) organization(s).

h. Unusual or infrequent events or transactions occurring after the latest benefit information date but before the financial statements are issued or are available to be issued (as discussed in Section [855-10-25](#)) that might significantly affect the usefulness of the financial statements in an assessment of the plan's present and future ability to pay benefits. For example, a plan amendment adopted after the latest benefit information date that significantly increases future benefits that are attributable to employees' [service](#) rendered before that date shall be disclosed. If reasonably determinable, the effects of such events or transactions shall be disclosed. If such effects are not quantified, the reasons why they are not reasonably determinable shall be disclosed. This guidance does not contemplate disclosure of normal changes after the benefit information date, such as benefits attributable to service rendered after that date.

## > Funding Policy

**960-205-50-2** Although a funding policy disclosure incorporating the technical name of the [actuarial cost method](#) and the amortization period for the unfunded [supplemental actuarial value](#) may not be meaningful to most users, such disclosure is not proscribed. A brief description, in general terms and in layman's language, of how contributions are determined pursuant to the actuarial cost method may be more understandable and therefore more useful. Thus, the latter disclosure is preferable.

**960-205-50-3** Plans are encouraged to disclose information regarding the estimated future impact of the funding policy on an existing difference between the net asset and benefit information. However, such disclosure is not required.

## > 401(h) Accounts

**960-205-50-4** Defined benefit pension plans shall disclose in the notes to financial statements the nature of the assets related to the 401(h) account, and the fact that the assets are available only to pay retiree health benefits.

**960-205-50-5** Because the Employee Retirement Income Security Act requires 401(h) accounts to be reported as assets of the pension plan, a reconciliation of the net assets reported in the financial statements to those reported in Form 5500 is required. The reconciliation shall be accompanied by a discussion of the 401(h) account, explaining clearly that the assets in the 401(h) account are not available to pay [pension benefits](#).

# 55 Implementation Guidance and Illustrations

**i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not



address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

## General

### > Illustrations

#### · > Example 1: Illustrative Annual Financial Statements of Defined Benefit Pension Plan

**960-205-55-1** This Example illustrates certain applications of the requirements of this Subtopic and in particular of paragraphs [960-205-45-1 through 45-4](#) that are applicable for the 1981 annual financial statements of a hypothetical plan, the C&H Company Pension Plan. It does not illustrate other requirements of this Subtopic that might be applicable in circumstances other than those assumed for the C&H Company Pension Plan. The formats presented and the wording of accompanying notes are only illustrative and do not necessarily indicate a preferred method of presentation. Further, the circumstances assumed for the C&H Company Pension Plan are designed to facilitate illustration of many of this Subtopic's requirements. Therefore, the notes to the illustrative financial statements probably are more extensive than would be expected for a typical plan. Included are illustrations of the following alternatives permitted by paragraphs [960-205-45-1 through 45-2](#), [960-20-45-8](#), and [960-20-50-6 through 50-7](#):

- a. An end-of-year versus beginning-of-year [benefit information date](#)
- b. Separate versus combined statements for presenting information regarding the following:
  1. The [net assets available for benefits](#) and the [actuarial present value of accumulated plan benefits](#)
  2. Changes in the net assets available for benefits and changes in the actuarial present value of accumulated plan benefits.
- c. A separate statement that reconciles the year-to-year change in the actuarial present value of accumulated plan benefits versus presenting the effects of a change in actuarial assumptions on the face of the statement of [accumulated plan benefits](#).

Although not illustrated, paragraph [960-20-45-2](#) permits the information regarding the actuarial present value of accumulated plan benefits and changes therein to be presented as notes to financial statements. The set of illustrative annual financial statements and accompanying notes are as follows.

Exhibit D-1

**C&H COMPANY PENSION PLAN STATEMENT OF NET ASSETS  
AVAILABLE FOR BENEFITS**

|                                                                       | <b>December 31,<br/>1981</b> |
|-----------------------------------------------------------------------|------------------------------|
| <b>Assets:</b>                                                        |                              |
| Investments, at fair value (Notes B[1] and E)                         |                              |
| United States government securities                                   | \$ 350,000                   |
| Corporate bonds and debentures                                        | 3,500,000                    |
| Common stock:                                                         |                              |
| C&H Company                                                           | 690,000                      |
| Other                                                                 | 2,250,000                    |
| Mortgages                                                             | 480,000                      |
| Real estate                                                           | 270,000                      |
|                                                                       | <u>7,540,000</u>             |
| Deposit administration contract, at contract value (Notes B[1] and F) | 1,000,000                    |
| Total investments                                                     | <u>8,540,000</u>             |
| Receivables:                                                          |                              |
| Employees' contributions                                              | 40,000                       |
| Securities sold                                                       | 310,000                      |
| Accrued interest and dividends                                        | 77,000                       |
|                                                                       | <u>427,000</u>               |
| Cash                                                                  | 200,000                      |
| Total assets                                                          | <u>9,167,000</u>             |
| <b>Liabilities:</b>                                                   |                              |
| Accounts payable                                                      | 70,000                       |
| Accrued expenses                                                      | 85,000                       |
| Total liabilities                                                     | <u>155,000</u>               |
| Net assets available for benefits                                     | <u>\$ 9,012,000</u>          |

The accompanying notes are an integral part of the financial statements.

Exhibit D-2

**C&H COMPANY PENSION PLAN  
STATEMENT OF CHANGES IN NET ASSETS AVAILABLE FOR BENEFITS**

|                                               | <b>Year Ended<br/>December 31,<br/>1981</b> |
|-----------------------------------------------|---------------------------------------------|
| Investment income                             |                                             |
| Net appreciation in fair value of investments | \$ 207,000                                  |
| Interest                                      | 345,000                                     |
| Dividends                                     | 130,000                                     |
| Rents                                         | 55,000                                      |
|                                               | <u>737,000</u>                              |
| Less investment expenses                      | 39,000                                      |
|                                               | <u>698,000</u>                              |
| Contributions (Note C)                        |                                             |
| Employer                                      | 780,000                                     |
| Employees                                     | 450,000                                     |
|                                               | <u>1,230,000</u>                            |
| Total additions                               | <u>1,928,000</u>                            |
| Benefits paid directly to participants        | 740,000                                     |
| Purchases of annuity contracts (Note F)       | 257,000                                     |
|                                               | <u>997,000</u>                              |
| Administrative expenses                       | 65,000                                      |
| Total deductions                              | <u>1,062,000</u>                            |
| Net increase                                  | 866,000                                     |
| Net assets available for benefits             |                                             |
| Beginning of year                             | 8,146,000                                   |
| End of year                                   | <u>\$ 9,012,000</u>                         |

The accompanying notes are an integral part of the financial statements.

Exhibit D-3

**C&H COMPANY PENSION PLAN  
STATEMENT OF ACCUMULATED PLAN BENEFITS**

|                                                                         | <b>December 31,<br/>1981</b> |
|-------------------------------------------------------------------------|------------------------------|
| Actuarial present value of accumulated plan benefits (Notes B[2] and C) |                              |
| Vested benefits                                                         |                              |
| Participants currently receiving payments                               | \$ 3,040,000                 |
| Other participants                                                      | 8,120,000                    |
|                                                                         | <u>11,160,000</u>            |
| Nonvested benefits                                                      | 2,720,000                    |
| Total actuarial present value of accumulated plan benefits              | <u>\$ 13,880,000</u>         |

The accompanying notes are an integral part of the financial statements.

Exhibit D-4

**C&H COMPANY PENSION PLAN  
STATEMENT OF CHANGES IN ACCUMULATED PLAN BENEFITS**

|                                                                              | Year Ended<br>December 31,<br>1981 |
|------------------------------------------------------------------------------|------------------------------------|
| Actuarial present value of accumulated plan benefits at beginning of year    | \$ 11,880,000                      |
| Increase (decrease) during the year attributable to:                         |                                    |
| Plan amendment (Note G)                                                      | 2,410,000                          |
| Change in actuarial assumptions (Note B[2])                                  | (1,050,500)                        |
| Benefits accumulated                                                         | 895,000                            |
| Increase for interest due to the decrease in the discount period (Note B[2]) | 742,500                            |
| Benefits paid                                                                | (997,000)                          |
| Net increase                                                                 | 2,000,000                          |
| Actuarial present value of accumulated plan benefits at end of year          | <u>\$ 13,880,000</u>               |

The accompanying notes are an integral part of the financial statements.

Exhibit D-5

**C&H COMPANY PENSION PLAN  
STATEMENT OF ACCUMULATED PLAN BENEFITS AND  
NET ASSETS AVAILABLE FOR BENEFITS  
[An alternative for Exhibits D-1 and D-3]**

|                                                                                                       | December 31,<br>1981 |
|-------------------------------------------------------------------------------------------------------|----------------------|
| <i>Accumulated Plan Benefits (Notes B[2] and C)</i>                                                   |                      |
| Actuarial present value of vested benefits                                                            |                      |
| Participants currently receiving payments                                                             | \$ 3,040,000         |
| Other participants                                                                                    | 8,120,000            |
|                                                                                                       | 11,160,000           |
| Actuarial present value of nonvested benefits                                                         | 2,720,000            |
| Total actuarial present value of accumulated plan benefits                                            | <u>13,880,000</u>    |
| <i>Net Assets Available for Benefits</i>                                                              |                      |
| Investments, at fair value (Notes B[1] and E)                                                         |                      |
| United States government securities                                                                   | 350,000              |
| Corporate bonds and debentures                                                                        | 3,500,000            |
| Common stock                                                                                          |                      |
| C&H Company                                                                                           | 690,000              |
| Other                                                                                                 | 2,250,000            |
| Mortgages                                                                                             | 480,000              |
| Real estate                                                                                           | 270,000              |
|                                                                                                       | 7,540,000            |
| Deposit administration contract, at contract value (Notes B[1] and F)                                 | 1,000,000            |
| Total investments                                                                                     | <u>8,540,000</u>     |
| Receivables                                                                                           |                      |
| Employees' contributions                                                                              | 40,000               |
| Securities sold                                                                                       | 310,000              |
| Accrued interest and dividends                                                                        | 77,000               |
|                                                                                                       | 427,000              |
| Cash                                                                                                  | <u>200,000</u>       |
| Total assets                                                                                          | 9,167,000            |
| Accounts payable                                                                                      | 70,000               |
| Accrued expenses                                                                                      | 85,000               |
| Total liabilities                                                                                     | 155,000              |
| Net assets available for benefits                                                                     | <u>9,012,000</u>     |
| Excess of actuarial present value of accumulated plan benefits over net assets available for benefits | <u>\$ 4,868,000</u>  |

The accompanying notes are an integral part of the financial statements.

Exhibit D-6

**C&H COMPANY PENSION PLAN**  
**STATEMENT OF CHANGES IN ACCUMULATED PLAN BENEFITS**  
**AND NET ASSETS AVAILABLE FOR BENEFITS**  
**[An alternative for Exhibits D-2 and D-4]**

|                                                                                                                   | <b>Year Ended<br/>December 31,<br/>1981</b> |
|-------------------------------------------------------------------------------------------------------------------|---------------------------------------------|
| <i>Net Increase in Actuarial Present Value of Accumulated Plan Benefits</i>                                       |                                             |
| Increase (decrease) during the year attributable to:                                                              |                                             |
| Plan amendment (Note G)                                                                                           | \$ 2,410,000                                |
| Change in actuarial assumptions (Note B[2])                                                                       | (1,050,500)                                 |
| Benefits accumulated                                                                                              | 895,000                                     |
| Increase for interest due to the decrease in the discount period (Note B[2])                                      | 742,500                                     |
| Benefits paid                                                                                                     | (997,000)                                   |
| Net increase                                                                                                      | <u>2,000,000</u>                            |
| <i>Net Increase in Net Assets Available for Benefits</i>                                                          |                                             |
| Investment income                                                                                                 |                                             |
| Net appreciation in fair value of investments                                                                     | 207,000                                     |
| Interest                                                                                                          | 345,000                                     |
| Dividends                                                                                                         | 130,000                                     |
| Rents                                                                                                             | 55,000                                      |
|                                                                                                                   | <u>737,000</u>                              |
| Less investment expenses                                                                                          | <u>39,000</u>                               |
|                                                                                                                   | <u>698,000</u>                              |
| Contributions (Note C)                                                                                            |                                             |
| Employer                                                                                                          | 780,000                                     |
| Employees                                                                                                         | 450,000                                     |
|                                                                                                                   | <u>1,230,000</u>                            |
| Total additions                                                                                                   | <u>1,928,000</u>                            |
| Benefits paid directly to participants                                                                            | 740,000                                     |
| Purchases of annuity contracts (Note F)                                                                           | 257,000                                     |
|                                                                                                                   | <u>997,000</u>                              |
| Administrative expenses                                                                                           | 65,000                                      |
| Total deductions                                                                                                  | <u>1,062,000</u>                            |
| Net increase                                                                                                      | <u>866,000</u>                              |
| Increase in excess of actuarial present value of accumulated plan benefits over net assets available for benefits | 1,134,000                                   |
| Excess of actuarial present value of accumulated plan benefits over net assets available for benefits             |                                             |
| Beginning of year                                                                                                 | <u>3,734,000</u>                            |
| End of year                                                                                                       | <u><u>\$ 4,868,000</u></u>                  |

The accompanying notes are an integral part of the financial statements.

Exhibit D-7

**C&H COMPANY PENSION PLAN**  
**STATEMENT OF NET ASSETS AVAILABLE FOR BENEFITS**  
**[If a beginning-of-year benefit information date is selected]**

|                                                                      | <b>December 31,</b>       |                           |
|----------------------------------------------------------------------|---------------------------|---------------------------|
|                                                                      | <b>1981</b>               | <b>1980</b>               |
| <b>Assets</b>                                                        |                           |                           |
| Investments, at fair value (Notes B[1] and E)                        |                           |                           |
| United States government securities                                  | \$ 350,000                | \$ 270,000                |
| Corporate bonds and debentures                                       | 3,500,000                 | 3,670,000                 |
| Common stock                                                         |                           |                           |
| C&H Company                                                          | 690,000                   | 880,000                   |
| Other                                                                | 2,250,000                 | 1,860,000                 |
| Mortgages                                                            | 480,000                   | 460,000                   |
| Real estate                                                          | 270,000                   | 240,000                   |
|                                                                      | <u>7,540,000</u>          | <u>7,380,000</u>          |
| Deposit administration contract at contract value (Notes B[1] and F) | 1,000,000                 | 890,000                   |
| Total investments                                                    | <u>8,540,000</u>          | <u>8,270,000</u>          |
| Receivables                                                          |                           |                           |
| Employees' contributions                                             | 40,000                    | 35,000                    |
| Securities sold                                                      | 310,000                   | 175,000                   |
| Accrued interest and dividends                                       | 77,000                    | 76,000                    |
|                                                                      | <u>427,000</u>            | <u>286,000</u>            |
| Cash                                                                 | 200,000                   | 90,000                    |
| Total assets                                                         | <u>9,167,000</u>          | <u>8,646,000</u>          |
| <b>Liabilities</b>                                                   |                           |                           |
| Accounts payable                                                     |                           |                           |
| Securities purchased                                                 | -                         | 400,000                   |
| Other                                                                | 70,000                    | 60,000                    |
|                                                                      | <u>70,000</u>             | <u>460,000</u>            |
| Accrued expenses                                                     | 85,000                    | 40,000                    |
| Total liabilities                                                    | <u>155,000</u>            | <u>500,000</u>            |
| Net assets available for benefits                                    | <u><u>\$9,012,000</u></u> | <u><u>\$8,146,000</u></u> |

The accompanying notes are an integral part of the financial statements.

Exhibit D-8

**C&H COMPANY PENSION PLAN**  
**STATEMENT OF CHANGES IN NET ASSETS AVAILABLE FOR BENEFITS**  
 [If a beginning-of-year benefit information date is selected]

|                                                              | Year Ended December 31 |                     |
|--------------------------------------------------------------|------------------------|---------------------|
|                                                              | 1981                   | 1980                |
| Investment income                                            |                        |                     |
| Net appreciation (depreciation) in fair value of investments | \$ 207,000             | \$ (72,000)         |
| Interest                                                     | 345,000                | 320,000             |
| Dividends                                                    | 130,000                | 110,000             |
| Rents                                                        | 55,000                 | 43,000              |
|                                                              | <u>737,000</u>         | <u>401,000</u>      |
| Less investment expenses                                     | <u>39,000</u>          | <u>35,000</u>       |
|                                                              | <u>698,000</u>         | <u>366,000</u>      |
| Contributions (Note C)                                       |                        |                     |
| Employer                                                     | 780,000                | 710,000             |
| Employees                                                    | 450,000                | 430,000             |
|                                                              | <u>1,230,000</u>       | <u>1,140,000</u>    |
| Total additions                                              | <u>1,928,000</u>       | <u>1,506,000</u>    |
| Benefits paid directly to participants                       | 740,000                | 561,000             |
| Purchases of annuity contracts (Note F)                      | 257,000                | 185,000             |
|                                                              | <u>997,000</u>         | <u>746,000</u>      |
| Administrative expenses                                      | 65,000                 | 58,000              |
| Total deductions                                             | <u>1,062,000</u>       | <u>804,000</u>      |
| Net increase                                                 | <u>866,000</u>         | <u>702,000</u>      |
| Net assets available for benefits                            |                        |                     |
| Beginning of year                                            | 8,146,000              | 7,444,000           |
| End of year                                                  | <u>\$ 9,012,000</u>    | <u>\$ 8,146,000</u> |

The accompanying notes are an integral part of the financial statements.

Exhibit D-9

**C&H COMPANY PENSION PLAN**  
**STATEMENT OF ACCUMULATED PLAN BENEFITS**  
 [If a beginning-of-year benefit information date is selected]

|                                                                         | December 31,<br>1980 |
|-------------------------------------------------------------------------|----------------------|
| Actuarial present value of accumulated plan benefits (Notes B(2) and C) |                      |
| Vested benefits                                                         |                      |
| Participants currently receiving payments                               | \$ 2,950,000         |
| Other participants                                                      | <u>6,530,000</u>     |
|                                                                         | <u>9,480,000</u>     |
| Nonvested benefits                                                      | <u>2,400,000</u>     |
| Total actuarial present value of accumulated plan benefits              | <u>\$ 11,880,000</u> |

At December 31, 1979, the total actuarial present value of accumulated plan benefits was \$10,544,000.

During 19X0 the actuarial present value of accumulated plan benefits increased \$700,000 as a result of a change in actuarial assumptions (Note B(2)). Also see Note G.

The accompanying notes are an integral part of the financial statements.

C&H COMPANY PENSION PLAN

Notes to Financial Statements

[Note: The notes are for the accompanying illustrative financial statements that use an end-of-year benefit information date. Modifications necessary to accompany the illustrative financial statements that use a beginning-of-year benefit information date are bracketed.]

A. Description of Plan

The following brief description of the C&H Company Pension Plan (Plan) is provided for general information purposes only.

Participants should see the Plan agreement for more complete information.

1. General. The Plan is a [defined benefit pension plan](#) covering substantially all employees of C&H Company (Company). It is subject to the provisions of the Employee Retirement Income Security Act of 1974.
2. [Pension Benefits](#). [Employees](#) with 10 or more years of [service](#) are entitled to annual pension [benefits](#) beginning at normal retirement age (65) equal to 1 1/2% of their final 5-year average annual compensation for each year of service.  
The Plan permits early retirement at ages 55-64. Employees may elect to receive their pension benefits in the form of a joint and survivor annuity.



If employees terminate before rendering 10 years of service, they forfeit the right to receive the portion of their accumulated plan benefits attributable to the Company's contributions. Employees may elect to receive the value of their accumulated plan benefits as a lump-sum distribution upon retirement or termination, or they may elect to receive their benefits as a life annuity payable monthly from retirement.

For each employee electing a life annuity, payments will not be less than the greater of the employee's accumulated contributions plus interest or an annuity for five years.

3. Death and Disability Benefits. If an active employee dies at age 55 or older, a death benefit equal to the value of the employee's accumulated pension benefits is paid to the employee's beneficiary.

Active employees who become totally disabled receive annual disability benefits that are equal to the normal retirement benefits they have accumulated as of the time they become disabled.

Disability benefits are paid until normal retirement age at which time disabled participants begin receiving normal retirement benefits computed as though they had been employed to normal retirement age with their annual compensation remaining the same as at the time they became disabled.

#### B. Summary of Accounting Policies

The following are the significant accounting policies followed by the Plan:

1. Valuation of Investments. If available, quoted market prices are used to value investments. The amounts shown in Note E for securities that have no quoted market price represent estimated fair value. Many factors are considered in arriving at that fair value. In general, however, corporate bonds are valued based on yields currently available on comparable securities of issuers with similar credit ratings. Investments in certain restricted common stocks are valued at the quoted market price of the issuer's unrestricted common stock less an appropriate discount. If a quoted market price for unrestricted common stock of the issuer is not available, restricted common stocks are valued at a multiple of current earnings less an appropriate discount. The multiple chosen is consistent with multiples of similar companies based on current market prices.

Mortgages have been valued on the basis of their future principal and interest payments discounted at prevailing interest rates for similar instruments. The fair value of real estate investments, principally rental property subject to long-term net leases, has been estimated on the basis of future rental receipts and estimated residual values discounted at interest rates commensurate with the risks involved.

The Plan's deposit administration contract with the National Insurance Company (National) (Note F) is valued at [contract value](#). Contract value represents contributions made under the contract, plus interest at the contract rate, less funds used to purchase annuities and pay administration expenses charged by National. Funds under the contract that have been allocated and applied to purchase annuities (that is, National is obligated to pay the related pension benefits) are excluded from the Plan's assets.

2. Actuarial Present Value of Accumulated Plan Benefits. Accumulated plan benefits are those future periodic payments, including lump-sum distributions, that are attributable under the Plan's provisions to the service employees have rendered. Accumulated plan benefits include benefits expected to be paid to retired or terminated employees or their beneficiaries, beneficiaries of employees who have died, and present employees or their beneficiaries. Benefits under the Plan are based on employees' compensation during their last five years of credited service. The accumulated plan benefits for active employees are based on their average compensation during the five years ending on the date as of which the [benefit information](#) is presented (the valuation date). Benefits payable under all circumstances—retirement, death, disability, and termination of employment—are included, to the extent they are deemed attributable to employee service rendered to the valuation date. Benefits to be provided via annuity contracts excluded from plan assets are excluded from accumulated plan benefits.

The actuarial present value of accumulated plan benefits is determined by an actuary from the AAA Company and is that amount that results from applying actuarial assumptions to

adjust the accumulated plan benefits to reflect the time value of money (through discounts for interest) and the probability of payment (by means of decrements such as for death, disability, withdrawal, or retirement) between the valuation date and the expected date of payment. The significant actuarial assumptions used in the valuations as of December 31, 1981 [1980], and December 31, 1980 [1979], were life expectancy of participants (the 1971 Group Annuity Mortality Table was used), retirement age assumptions (the assumed average retirement age was 60), and investment return. The 1981 [1980] and 1980 [1979] valuations included assumed average rates of return of 7% [6.25%] and 6.25% [6.75%], respectively, including a reduction of .2% to reflect anticipated administrative expenses associated with providing benefits. The foregoing actuarial assumptions are based on the presumption that the Plan will continue. Were the Plan to terminate, different actuarial assumptions and other factors might be applicable in determining the actuarial present value of accumulated plan benefits.

#### C. Funding Policy

As a condition of participation, employees are required to contribute 3% of their salary to the Plan. Present employees' accumulated contributions at December 31, 1981 [1980], were \$2,575,000 [\$2,325,000], including interest credited at an interest rate of 5% compounded annually. The Company's funding policy is to make annual contributions to the Plan in amounts that are estimated to remain a constant percentage of employees' compensation each year (approximately 5% for 1981 [and 1980]), such that, when combined with employees' contributions, all employees' benefits will be fully provided for by the time they retire. Beginning in 1982, the Company's contribution is expected to increase to approximately 6% to provide for the increase in benefits attributable to the Plan amendment effective July 1, 1981 (Note G). The Company's contributions for 1981 [and 1980] exceeded the minimum funding requirements of the Employee Retirement Income Security Act.

Although it has not expressed any intention to do so, the Company has the right under the Plan to discontinue its contributions at any time and to terminate the Plan subject to the provisions set forth in the Employee Retirement Income Security Act.

#### D. Plan Termination

In the event the Plan terminates, the net assets of the Plan will be allocated, as prescribed by the Employee Retirement Income Security Act and its related regulations, generally to provide the following benefits in the order indicated:

- a. Benefits attributable to employee contributions, taking into account those paid out before termination.
- b. Annuity benefits former employees or their beneficiaries have been receiving for at least three years, or that employees eligible to retire for that three-year period would have been receiving if they had retired with benefits in the normal form of annuity under the Plan. The priority amount is limited to the lowest benefit that was payable (or would have been payable) during those three years. The amount is further limited to the lowest benefit that would be payable under plan provisions in effect at any time during the five years preceding plan termination.
- c. Other [vested benefits](#) insured by the Pension Benefit Guaranty Corporation (a U.S. governmental agency) up to the applicable limitations (discussed below).
- d. All other vested benefits (that is, vested benefits not insured by the Pension Benefit Guaranty Corporation).
- e. All nonvested benefits.

Benefits to be provided via contracts under which National (Note F) is obligated to pay the benefits would be excluded for allocation purposes.

Certain benefits under the Plan are insured by the Pension Benefit Guaranty Corporation if the Plan terminates. Generally, the Pension Benefit Guaranty Corporation guarantees most vested normal age retirement benefits, early retirement benefits, and certain disability and survivor's pensions. However, the Pension Benefit Guaranty Corporation does not guarantee all types of benefits under the Plan, and the amount of benefit protection is subject to certain limitations.

Vested benefits under the Plan are guaranteed at the level in effect on the date of the Plan's termination. However, there is a statutory ceiling on the amount of an individual's monthly benefit that the Pension Benefit Guaranty Corporation guarantees. For plan terminations occurring during 1981 and 1980, that ceiling, which is adjusted periodically, was \$X,XXX.XX and \$1,159.09 per month, respectively. That ceiling applies to those pensioners who elect to receive their benefits in the form of a single-life annuity and are at least 65 years old at the time of retirement or plan termination (whichever comes later). For younger annuitants or for those who elect to receive their benefits in some form more valuable than a single-life annuity, the corresponding ceilings are actuarially adjusted downward. Benefit improvements attributable to the Plan amendment effective July 1, 1981 (Note G), may not be fully guaranteed even though total benefit entitlements fall below the aforementioned ceilings. For example, none of the improvement would be guaranteed if the plan were to be terminated before July 1, 1982. After that date the Pension Benefit Guaranty Corporation would guarantee 20% of any benefit improvements that resulted in benefits below the ceiling, with an additional 20% guaranteed each year the plan continued beyond July 1, 1982. If the amount of the benefit increase below the ceiling is also less than \$100, \$20 of the increase (rather than 20%) becomes guaranteed by the Pension Benefit Guaranty Corporation each year following the effective date of the amendment. As a result, only the primary ceiling would be applicable after July 1, 1986.

Whether all participants receive their benefits should the Plan terminate at some future time will depend on the sufficiency, at that time, of the Plan's net assets to provide those benefits and may also depend on the level of benefits guaranteed by the Pension Benefit Guaranty Corporation.

#### E. Investments Other Than Contract with Insurance Entity

Except for its deposit administration contract (Note F), the Plan's investments are held by a bank-administered trust fund. (See paragraph [962-325-55-17](#) for a detailed Example of plan investment disclosures.)

#### F. Contract with Insurance Entity

In 1978, the Company entered into a deposit administration contract with the National Insurance Company under which the Plan deposits a minimum of \$100,000 a year. National maintains the contributions in an unallocated fund to which it adds interest at a rate of 8%. The interest rate is guaranteed through 1983 but is subject to change for each succeeding five-year period. When changed, the new rate applies only to funds deposited from the date of change. At the direction of the Plan's administrator, a single premium to buy an annuity for a retiring employee is withdrawn by National from the unallocated fund. Purchased annuities are contracts under which National is obligated to pay benefits to named employees or their beneficiaries. The premium rates for such annuities to be purchased in the future and maximum administration expense charges against the fund are also guaranteed by National on a five-year basis. The annuity contracts provide for periodic dividends at National's discretion on the basis of its experience under the contracts. Such dividends received by the Plan for the year[s] ended December 31, 1981, [and 1980] were \$25,000 [and \$24,000, respectively]. In reporting changes in net assets, those dividends have been netted against amounts paid to National for the purchase of annuity contracts.

#### G. Plan Amendment

Effective July 1, 1981, the Plan was amended to increase future annual pension benefits from 1 1/4% to 1 1/2% of final 5-year average annual compensation for each year of service, including service rendered before the effective date. The retroactive effect of the Plan amendment, an increase in the actuarial present value of accumulated plan benefits of \$2,410,000, was accounted for in the year ended December 31, 1981. [The actuarial present values of accumulated plan benefits at December 31, 1980, and December 31, 1979, do not reflect the effect of that Plan amendment. The Plan's actuary estimates that the amendment's retroactive effect on the actuarial present value of accumulated plan benefits at December 31, 1980, was an increase of approximately \$1,750,000, of which approximately \$1,300,000 represents an increase in vested benefits.]

#### H. Accounting Changes

In 1981, the Plan changed its method of accounting and reporting to comply with the provisions of the defined benefit plan accounting standard issued by the Financial Accounting Standards Board. Previously reported financial information pertaining to 1980 [and 1979] has been restated to present that information on a comparable basis.

## · > Example 2: Illustrative Defined Benefit Pension Plan Financial Statements and Related 401(h) Account Disclosures

**960-205-55-2** This Example illustrates certain applications of the provisions of this Subtopic and in particular paragraphs [960-205-50-4 through 50-5](#) that apply for the annual financial statements of a hypothetical defined benefit pension plan that has been amended to include a 401(h) account. It does not illustrate other provisions that might apply in circumstances other than those assumed in this Example. The financial statements and accompanying notes are as follows.

### C&H Company Pension Plan Statement of Net Assets Available for Pension Benefits

|                                                 | December 31, |              |
|-------------------------------------------------|--------------|--------------|
|                                                 | 20X1         | 20X0         |
| <b>Assets</b>                                   |              |              |
| Investments, at fair value (Note A):            |              |              |
| Plan interest in C&H Master Trust               | \$ 2,000,000 | \$ 1,660,000 |
| C&H Company common stock                        | 600,000      | 800,000      |
| Investment contract with insurance company      | 850,000      | 800,000      |
| Corporate bonds and debentures                  | 3,000,000    | 3,170,000    |
| U.S. government securities                      | 300,000      | 200,000      |
| Mortgages                                       | 480,000      | 460,000      |
| Money market fund                               | 270,000      | 240,000      |
| Total investments                               | 7,500,000    | 7,330,000    |
| Net assets held in 401(h) account (Note H)      | 1,072,000    | 966,000      |
| Receivables:                                    |              |              |
| Employer's contribution                         | 20,000       | 10,000       |
| Securities sold                                 | 310,000      | 175,000      |
| Accrued interest and dividends                  | 70,000       | 70,000       |
| Total receivables                               | 400,000      | 255,000      |
| Cash                                            | 180,000      | 80,000       |
| Total assets                                    | 9,152,000    | 8,631,000    |
| <b>Liabilities</b>                              |              |              |
| Due to broker for securities purchased          | -            | 400,000      |
| Accounts payable                                | 70,000       | 60,000       |
| Accrued expenses                                | 70,000       | 25,000       |
| Amounts related to obligation of 401(h) account | 1,072,000    | 966,000      |
| Total liabilities                               | 1,212,000    | 1,451,000    |
| Net assets available for pension benefits       | \$ 7,940,000 | \$ 7,180,000 |

The accompanying notes are an integral part of the financial statements.

### C&H Company Pension Plan Statement of Changes in Net Assets Available for Pension Benefits

|                                                     | Ended<br>December 31, |
|-----------------------------------------------------|-----------------------|
| Investment income:                                  |                       |
| Net appreciation in fair value of investments       | \$ 233,000            |
| Interest                                            | 293,000               |
| Dividends                                           | 4,000                 |
|                                                     | 530,000               |
| Less investment expenses                            | 30,000                |
| Plan interest in C&H Master Trust investment income | 117,000               |
|                                                     | 617,000               |
| Contributions:                                      |                       |
| Employer                                            | 740,000               |
| Employees                                           | 450,000               |
|                                                     | 1,190,000             |
| Total additions                                     | 1,807,000             |
| Benefits paid directly to participants              | 740,000               |
| Purchases of annuity contracts                      | 257,000               |
|                                                     | 997,000               |
| Administrative expenses                             | 50,000                |
| Total deductions                                    | 1,047,000             |
| Net increase                                        | 760,000               |
| Net assets available for pension benefits:          |                       |
| Beginning of year                                   | 7,180,000             |
| End of year                                         | \$ 7,940,000          |

The accompanying notes are an integral part of the financial statements.

## Notes to Financial Statements

### A. 401 (h) Account



Effective January 1, 19X0, the Plan was amended to include a medical-benefit component in addition to the normal retirement benefits to fund a portion of the postretirement obligations for retirees and their beneficiaries in accordance with Section 401(h) of the Internal Revenue Code. A [separate account](#) has been established and maintained in the Plan for the net assets related to the medical-benefit component (401(h) account). In accordance with Internal Revenue Code Section 401(h), the Plan's investments in the 401(h) account may not be used for, or diverted to, any purpose other than providing health benefits for retirees and their beneficiaries. Any assets transferred to the 401(h) account from the defined benefit pension plan in a qualified transfer of excess pension plan assets (and any income allocable thereto) that are not used during the plan year must be transferred out of the account to the pension plan. The related obligations for health benefits are not included in this Plan's obligations in the statement of accumulated plan benefits but are reflected as obligations in the financial statements of the health and welfare benefit plan. Plan participants do not contribute to the 401(h) account. Employer contributions or qualified transfers to the 401(h) account are determined annually and are at the discretion of the Plan [Sponsor](#). Certain of the Plan's net assets are restricted to fund a portion of postretirement health benefits for retirees and their beneficiaries in accordance with Internal Revenue Code Section 401(h).

#### H. Reconciliation of Financial Statements to Form 5500

[Note: The reconciliation of amounts reported in the plan's financial statements to amounts reported in Form 5500 is required by the Employee Retirement Income Security Act.]

The following is a reconciliation of net assets available for pension benefits per the financial statements to the Form 5500.

|                                                                        | December 31,        |                     |
|------------------------------------------------------------------------|---------------------|---------------------|
|                                                                        | 20X1                | 20X0                |
| Net assets available for pension benefits per the financial statements | \$ 7,940,000        | \$ 7,180,000        |
| Net assets held in 401(h) account included as assets in Form 5500      | 1,072,000           | 966,000             |
| Net assets available for benefits per the Form 5500                    | <u>\$ 9,012,000</u> | <u>\$ 8,146,000</u> |

The net assets of the 401(h) account included in Form 5500 are not available to pay pension benefits but can be used only to pay retiree health benefits.

The following is a reconciliation of the changes in net assets per the financial statements to the Form 5500.

|                                               | For the Year Ended December 31, 20X1 |                |                       |
|-----------------------------------------------|--------------------------------------|----------------|-----------------------|
|                                               | Amounts per Financial Statements     | 401(h) Account | Amounts per Form 5500 |
| Net appreciation in fair value of investments | \$ 233,000                           | \$ 10,800      | \$ 243,800            |
| Interest income                               | 293,000                              | 80,200         | 373,200               |
| Employer contributions                        | 740,000                              | 40,000         | 780,000               |
| Benefits paid to retirees                     | 740,000                              | 10,000         | 750,000               |
| Administrative expenses                       | 50,000                               | 15,000         | 65,000                |

#### H. Reconciliation of Financial Statements to Form 5500

[Note: The reconciliation of amounts reported in plan financial statements to amounts reported in Form 5500 is required by the Employee Retirement Income Security Act.]

The following is a reconciliation of net assets available for benefits per the financial statements to the Form 5500.

|                                                                |                     |
|----------------------------------------------------------------|---------------------|
| Net assets available for benefits per the financial statements | \$ 9,557,000        |
| Claims payable                                                 | (1,200,000)         |
| Net assets held in defined benefit plan-401(h) account         | <u>(1,072,000)</u>  |
| Net assets available for benefits per Form 5500                | <u>\$ 7,285,000</u> |



# 960 Plan Accounting—Defined Benefit Pension Plans

## 310 Receivables

### 00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

### General

960-310-00-1

The following table identifies the changes made to this Subtopic.

| Paragraph                                               | Action     | Accounting Standards Update                             | Date       |
|---------------------------------------------------------|------------|---------------------------------------------------------|------------|
| <a href="#">Defined Benefit Plan</a>                    | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Defined Benefit Pension Plan</a> (1st def.) | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Funding Policy</a> (1st def.)               | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Funding Policy</a> (3rd def.)               | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Service</a> (1st def.)                      | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Service</a> (2nd def.)                      | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-310-05-1</a>                            | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-310-25-2</a>                            | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-310-25-4</a>                            | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |

## 05 Overview and Background

**General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**960-310-05-1** This Subtopic provides guidance on accounting for receivables for [defined benefit pension plans](#).

# 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

**i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

## General

### > Overall Guidance

**960-310-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [960-10-15](#).

# 20 Glossary

**i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master

Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Accumulated Plan Benefits

Future benefit payments that are attributable under the provisions of a pension plan to employees' service rendered to the benefit information date. Accumulated plan benefits comprise benefits expected to be paid to any of the following:

- a. Retired or terminated employees or their beneficiaries
- b. Beneficiaries of deceased employees
- c. Present employees or their beneficiaries.

### Actuarial Present Value of Accumulated Plan Benefits

The amount as of a benefit information date that results from applying actuarial assumptions to the benefit amounts determined pursuant to paragraphs [960-20-25-3 through 25-5](#) (that is, the [accumulated plan benefits](#)), with the actuarial assumptions being used to adjust those amounts to reflect the time value of money (through discounts for interest) and the probability of payment (by means of decrements such as for death, disability, withdrawal, or retirement) between the benefit information date and the expected date of payment.

### Defined Benefit Plan

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. Defined benefit health and welfare plans—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.
- b. Defined benefit pension plan—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.
- c. Defined benefit postretirement plan—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

### Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. **Defined contribution postretirement plan**—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

### Funding Policy

The program regarding the amounts and timing of contributions by the employers, plan participants, and any other sources (for example, state subsidies or federal grants) to provide the benefits a pension plan or other postretirement benefit plan specifies.

### Net Assets Available for Benefits

The difference between a plan's assets and its liabilities. For purposes of this definition, a plan's liabilities do not include participants' accumulated plan benefits.

### Prior Service Costs

See [Supplemental Actuarial Value](#).

### Reporting Date

The date as of which information regarding the net assets available for benefits is presented.

### Service

Employment taken into consideration under a pension plan. Years of employment before the inception of a plan constitute an employee's past service; years thereafter are classified in relation to the particular actuarial valuation being made or discussed. Years of employment (including past service) before the date of a particular valuation constitute prior service; years of employment following the date of the valuation constitute future service; a year of employment adjacent to the date of valuation, or in which such date falls, constitutes current service.

### Supplemental Actuarial Value

The amount assigned under the actuarial cost method in use to years before a given date.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

**General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

## General

### > Contributions Receivable

**960-310-25-1** Contributions receivable are the amounts due as of the [reporting date](#) to the plan from any of the following:

- a. Employer(s)
- b. Participants
- c. Other sources of funding (for example, state subsidies or federal grants—which shall be separately identified).

**960-310-25-2** Amounts due include those pursuant to formal commitments as well as legal or contractual requirements. With respect to an employer's contributions, evidence of a formal commitment may include any of the following:

- a. A resolution by the employer's governing body approving a specified contribution
- b. A consistent pattern of making payments after the plan's year-end pursuant to an established [funding policy](#) that attributes such subsequent payments to the preceding plan year
- c. A deduction of a contribution for federal tax purposes for periods ending on or before the reporting date
- d. The employer's recognition as of the reporting date of a contribution payable to the plan. The existence of accrued pension costs does not, by itself, provide sufficient support for recognition of a contribution receivable. For various reasons, amounts recorded as accrued pension costs by an employer may differ from amounts formally committed to the plan. For example, the method used for measurement of periodic pension costs for the employer's financial statements may differ from the method used for determining the amount and incidence of employer contributions.

**960-310-25-3** Funds from sources such as federal revenue-sharing programs that are used for plan funding purposes at the employer's discretion are, in effect, employer contributions and shall be reported as such.



Receipt of formally committed amounts soon after the plan's year-end provides additional evidence of the existence of a receivable at year-end. An adequate allowance shall be provided for estimated uncollectible amounts.

**960-310-25-3A** A multiemployer plan may also have a receivable for a withdrawing employer's share of the plan's unfunded liability. The plan should record the receivable, net of any allowance for an amount deemed uncollectible, when entitlement has been determined.

> **Unfunded Prior Service Costs**

**960-310-25-4** Unfunded [prior service costs](#) are not receivables of the plan because at the reporting date those amounts are not due from the employer(s). The employer(s) may or may not intend to eventually contribute amounts sufficient to eliminate the unfunded prior [service](#) costs. Until such payments are formally committed to the plan, unfunded prior service costs do not constitute a recordable resource of the plan. For similar reasons, any existing excess of the [actuarial present value of accumulated plan benefits](#) over the [net assets available for benefits](#) (excluding contributions receivable) is not a plan asset unless at the reporting date that amount is legally, contractually, or pursuant to a formal commitment due the plan.

960 Plan Accounting—Defined Benefit Pension Plans

325 Investments—Other

00 Status

**i General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

**960-325-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                           | Action     | Accounting Standards Update                             | Date       |
|-------------------------------------|------------|---------------------------------------------------------|------------|
| <a href="#">Benefits</a>            | Amended    | <a href="#">Accounting Standards Update No. 2016-19</a> | 12/14/2016 |
| <b>Benefits</b> (1st def.)          | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Benefits</a> (3rd def.) | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |

|                                         |            |                                                                    |            |
|-----------------------------------------|------------|--------------------------------------------------------------------|------------|
| Contract Value                          | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>            | 03/14/2014 |
| Defined Benefit Plan                    | Added      | <a href="#">Accounting Standards Update No. 2014-06</a>            | 03/14/2014 |
| Defined Benefit Pension Plan (1st def.) | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a>            | 03/14/2014 |
| Unallocated Contract (1st def.)         | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a>            | 03/14/2014 |
| Unallocated Contract (2nd def.)         | Added      | <a href="#">Accounting Standards Update No. 2014-06</a>            | 03/14/2014 |
| 960-325-05-1                            | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>            | 03/14/2014 |
| 960-325-25-1                            | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a>            | 03/14/2014 |
| 960-325-35-4                            | Added      | <a href="#">Accounting Standards Update No. 2015-12 (Part III)</a> | 07/31/2015 |
| 960-325-45-1                            | Amended    | <a href="#">Accounting Standards Update No. 2015-12 (Part II)</a>  | 07/31/2015 |
| 960-325-45-2                            | Added      | <a href="#">Accounting Standards Update No. 2015-12 (Part II)</a>  | 07/31/2015 |
| 960-325-50-1                            | Amended    | <a href="#">Accounting Standards Update No. 2015-12 (Part II)</a>  | 07/31/2015 |
| 960-325-50-1                            | Amended    | <a href="#">Accounting Standards Update No. 2012-04</a>            | 10/01/2012 |
| 960-325-50-2                            | Superseded | <a href="#">Accounting Standards Update No. 2015-12 (Part II)</a>  | 07/31/2015 |
| 960-325-50-4                            | Added      | <a href="#">Accounting Standards Update No. 2015-12 (Part III)</a> | 07/31/2015 |
| 960-325-50-5                            | Added      | <a href="#">Accounting Standards Update No. 2015-12 (Part III)</a> | 07/31/2015 |
| 960-325-50-6                            | Added      | <a href="#">Accounting Standards Update No. 2015-12 (Part II)</a>  | 07/31/2015 |
| 960-325-50-7 through 50-11              | Added      | <a href="#">Accounting Standards Update No. 2017-06</a>            | 02/27/2017 |

## 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

- 960-325-05-1** This Subtopic provides guidance on investments and insurance contracts for [defined benefit pension plans](#).

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

- 960-325-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [960-10-15](#).

# 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

## Contract Value

The value of an [unallocated contract](#) that is determined by the insurance entity in accordance with the terms of the contract.

## Defined Benefit Plan

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. **Defined benefit health and welfare plans**—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.
- b. **Defined benefit pension plan**—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.
- c. **Defined benefit postretirement plan**—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

## Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.

b. Defined contribution postretirement plan—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

### Net Assets Available for Benefits

The difference between a plan's assets and its liabilities. For purposes of this definition, a plan's liabilities do not include participants' accumulated plan benefits.

### Reporting Date

The date as of which information regarding the net assets available for benefits is presented.

### Unallocated Contract

A contract with an insurance entity under which payments to the insurance entity are accumulated in an unallocated fund (not allocated to specific plan participants) to be used either directly or through the purchase of annuities, to meet benefit payments when employees retire. Funds held by the insurance entity under an unallocated contract may be withdrawn and otherwise invested.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

- 960-325-25-1** The accrual basis requires that purchases (and sales) of securities be recorded on a trade-date basis. However, if the settlement date is after the [reporting date](#), accounting on a settlement-date basis is acceptable if both of the following conditions exist:
- The fair value of securities purchased (or sold) just before the reporting date does not change significantly from the trade date to the reporting date.
  - The purchases (or sales) do not significantly affect the composition of the plan's assets available for [benefits](#).

## 35 Subsequent Measurement



**i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

- 960-325-35-1** Plan investments—whether equity or debt securities, real estate, or other types (excluding insurance contracts)—shall be presented at their fair value at the [reporting date](#). A contract with benefit-responsive provisions shall be reported as an investment contract if it cannot otherwise be considered an insurance contract (see paragraph [960-325-35-3](#)).
- 960-325-35-2** If significant, the fair value of an investment shall be reduced by brokerage commissions and other costs normally incurred in a sale (similar to fair value less cost to sell).
- 960-325-35-3** Insurance contracts shall be presented in the same manner as specified in the annual report filed by the plan with certain governmental agencies pursuant to the Employee Retirement Income Security Act; that is, either at fair value or at amounts determined by the insurance entity ([contract value](#)). The credit quality of the issuer also must be evaluated when using contract value to report an investment contract with significant insurance risk. A plan not subject to the Employee Retirement Income Security Act shall present its insurance contracts as if the plan were subject to the reporting requirements of that Act.
- 960-325-35-4** If a plan's fiscal year-end does not coincide with a month-end, the plan may measure investments and investment-related accounts (for example, a liability for a pending trade with a broker) using the month-end that is closest to the plan's fiscal year-end. That election shall be applied consistently from year to year.

## 40 Derecognition

**i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

## General

- 960-325-40-1** See Section [960-325-25](#) for guidance on the use of the trade-date basis in recording sales of securities.

# 45 Other Presentation Matters

**General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

- 960-325-45-1** Information regarding a plan's investments that are measured using fair value shall indicate whether reported fair values have been measured by quoted prices in an active market or are fair values otherwise determined.
- 960-325-45-2** Investments measured using fair value in the statement of [net assets available for benefits](#) or in the notes shall be presented by general type, such as the following:
- a. Registered investment companies (for example, mutual funds)
  - b. Government securities
  - c. Common-collective trusts
  - d. Pooled separate accounts
  - e. Short-term securities
  - f. Corporate bonds
  - g. Common stocks
  - h. Mortgages
  - i. Real estate.

# 50 Disclosure

**General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

 [Related Proposed ASUs](#)

- 960-325-50-1** Disclosure of the plan's accounting policies shall include a description of valuation techniques and inputs used to measure the fair value of investments (as required by Section [820-10-50](#)) and a description of the methods and significant assumptions used to measure the reported value of contracts with insurance entities. However, defined benefit pension plans are exempt from the requirements in paragraph [820-10-50-2B\(a\)](#) to disaggregate assets by nature, characteristics, and risks. The disclosures of information by classes of assets required by Section [820-10-50](#) shall be provided by general type of plan assets consistent with paragraph [960-325-45-2](#).
- 960-325-50-2** [Paragraph superseded by Accounting Standards Update No. 2015-12 \(Part II\)](#).
- 960-325-50-3** The historical cost of plan investments presented at fair value is neither required nor proscribed.
- 960-325-50-4** If applicable, a plan shall disclose the accounting policy election to measure investments and investment-related accounts using the month-end that is closest to the plan's fiscal year-end in accordance with paragraph [960-325-35-4](#) and the month-end measurement date.
- 960-325-50-5** If a plan measures investments and investment-related accounts in accordance with paragraph [960-325-35-4](#) and contributions, distributions, and/or significant events (such as a plan amendment, a merger, or a termination) occur between the month-end date used to measure investments and investment-related accounts and the plan's fiscal year-end, the plan shall disclose the amounts of those contributions, distributions, and/or significant events.

## > Investments Measured Using the Net Asset Value per Share Practical Expedient

- 960-325-50-6** If an investment is measured using the net asset value per share (or its equivalent) practical expedient in paragraph [820-10-35-59](#) and that investment is in a fund that files U.S. Department of Labor Form 5500 as a direct filing entity, disclosure of that investment's significant investment strategy, as discussed in paragraph [820-10-50-6A\(a\)](#), is not required.

## > Interests in Master Trusts

- 960-325-50-7** A plan shall disclose the following in the notes to financial statements for each period for which a statement of changes in net assets available for benefits is presented:
- a. Net appreciation or depreciation in the fair value of investments of the master trust. Net appreciation or depreciation includes realized gains and losses on investments that were both purchased and sold during the period as well as unrealized appreciation or depreciation of the investments held at year-end.
  - b. Investment income (exclusive of (a)).
- 960-325-50-8** A plan also shall include in the notes to financial statements both of the following:
- a. Description of the basis used to allocate both of the following:
    1. Net assets
    2. Total investment income. See paragraph [960-325-50-7](#) for the components of total investment income.

b. For a plan with an undivided interest in the master trust (that is, when the plan has a proportionate, rather than a specific, interest in the master trust), its percentage interest in the master trust as of the date of each statement of net assets available for benefits presented.

**960-325-50-9** In the notes to financial statements a plan shall include the investments of a master trust measured using fair value presented by general type of investment, such as the following, as of the date of each statement of [net assets available for benefits](#) presented:

- a. Registered investment companies (for example, mutual funds)
- b. Government securities
- c. Common-collective trusts
- d. Pooled separate accounts
- e. Short-term securities
- f. Corporate bonds
- g. Common stocks
- h. Mortgages
- i. Real estate.

**960-325-50-10** A plan shall disclose the dollar amount of its interest in each general type of investment held by the master trust, consistent with the disclosure required by paragraph [960-325-50-9](#). See paragraph [962-325-55-18](#) for an example of this disclosure.

**960-325-50-11** A plan also shall disclose the master trust's other assets and liabilities and the dollar amount of the plan's interest in each of those other assets and liabilities. Examples of those balances include the following:

- a. Amounts due from brokers for securities sold
- b. Amounts due to brokers for securities purchased
- c. Receivables relating to derivatives
- d. Payables relating to derivatives
- e. Accrued interest and dividends
- f. Accrued expenses.

See paragraph [962-325-55-18](#) for an example of this disclosure.

## 60 Relationships

**i General Note:** The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

### General

#### > Derivatives and Hedging

- 960-325-60-1

For reporting of gains or losses on hedging instruments and nonhedging derivative instruments, see Section [815-10-35](#).
- 960-325-60-2

For accounting for nonleveraged inflation-indexed contracts for pension obligations, see paragraph [815-15-25-50](#).

960 Plan Accounting—Defined Benefit Pension Plans

360 Property, Plant, and Equipment

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

960-360-00-1

The following table identifies the changes made to this Subtopic.

| Paragraph                                               | Action     | Accounting Standards Update                             | Date       |
|---------------------------------------------------------|------------|---------------------------------------------------------|------------|
| <a href="#">Benefits</a>                                | Amended    | <a href="#">Accounting Standards Update No. 2016-19</a> | 12/14/2016 |
| <a href="#">Benefits</a> (1st def.)                     | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Benefits</a> (3rd def.)                     | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Defined Benefit Plan</a>                    | Added      | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">Defined Benefit Pension Plan</a> (1st def.) | Superseded | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-360-05-1</a>                            | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">960-360-35-2</a>                            | Amended    | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |

05 Overview and Background



- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

- 960-360-05-1** This Subtopic provides guidance on accounting for property, plant, and equipment for [defined benefit pension plans](#).

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

- 960-360-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [960-10-15](#).

# 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

## Defined Benefit Plan

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. **Defined benefit health and welfare plans**—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.
- b. **Defined benefit pension plan**—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.
- c. **Defined benefit postretirement plan**—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

## Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. **Defined contribution postretirement plan**—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the

forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

## 35 Subsequent Measurement

**General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

### General

- 960-360-35-1** Plan assets used in plan operations shall be presented at cost less accumulated depreciation or amortization and may consist of, among others, any of the following:
- Buildings
  - Equipment
  - Furniture and fixtures
  - Leasehold improvements.
- 960-360-35-2** Expenditures for operating assets are in the nature of advance payments for future administrative services. In that respect they differ from investments that are expected to generate future cash flows that will be used to provide [benefits](#).